BYBLOS BANK SYRIA

INTERNAL AUDIT REPORT

YEAR END 2019

بنك بيبلوس سورية

تقرير التدقيق الداخلي

لنهاية عام ٢٠١٩

To the Audit Committee Members:

- Mr. Muhammad Marwan al Hakim
- Mr. Selim Stephan

إلى أعضاء لجنة التدقيق:

- السيد محمد مروان الحكيم
- السيد سليم اسطفان

CC:

- Mr. Alain Wanna, Chairman of the Board
- Mr. Karam Bechara, General Manager
- Mr. Walid Kazan, AGM - Head of Foreign Banking Units Support - BBL
- Mr. Fadi Abou-Abdallah, Head of Group Internal Audit

نسخة إلى السادة:

- السيد ألان ونّا، رئيس مجلس الإدارة
- السيد كرم بشارة، المدير العام
- السيد وليد قازان، مدير عام مساعد - مدير دعم الوحدات المصرفية الخارجية لمجموعة بنك بيبلوس
- السيد فادي أبوعبدالله - مدير التدقيق الداخلي لمجموعة بنك بيبلوس

Prepared by:

- Talal Aboulchamat, Head of internal Audit - BBS

أعدّ من قبل:

- طلال أبو الشامات - مدير التدقيق الداخلي في بنك بيبلوس سورية

Reflects status of the Bank as at December 31, 2019 - Report issued on February 26, 2020

هذا التقرير يظهر وضعية بنك بيبلوس سورية بتاريخ ٣١ كانون الأوّل ٢٠١٩ وصادر بتاريخ ٢٦ شباط ٢٠٢٠

INTRODUCTION

In the year end 2019 audit report, we followed up on all outstanding issues at BBS. The table below shows the number of issues raised and solved during the year 2019 sorted by risk level along with the corresponding aging.

المقدمة

في تقرير نهاية عام ٢٠١٩، تمّت متابعة جميع النقاط العالقة في بنك بيبلوس سورية. إنّ الجدول الوارد أدناه يبيّن عدد النقاط التي ظهرت وتمّ تصويبها، وذلك خلال العام ٢٠١٩ موزّعة على أساس مستوى المخاطر والأقدمية.

PROCESS BASED AUDIT ISSUES

	Q4 2018	Added	Solved	Adj *	Archived	Q4 2019
IT Audit						
High	0	3	2	0	0	**1**
Medium	3	17	3	-5	2	**10**
Low	11	2	3	4	9	**5**
Total	**14**	**22**	**8**	**-1**	**11**	**16**
Operations Audit						
High	4	2	0	-5	0	**1**
Medium	13	9	3	1	3	**17**
Low	21	4	5	3	7	**16**
Total	**38**	**15**	**8**	**-1**	**10**	**34**
Credit Review						
High	0	0	0	0	0	**0**
Medium	3	4	1	-3	2	**1**
Low	3	0	2	0	1	**0**
Total	**6**	**4**	**3**	**-3**	**3**	**1**
CBoS Issues						
High	0	0	0	0	0	**0**
Medium	2	0	2	0	0	**0**
Low	0	0	0	0	0	**0**
Total	**2**	**0**	**2**	**0**	**0**	**0**
Total						
High	4	5	2	-5	0	**2**
Medium	21	30	9	-7	7	**28**
Low	35	6	10	7	17	**21**
Total	**60**	**41**	**21**	**-5**	**24**	**51**

AGING IN MONTHS

	0-6	06-12	12-24	>24	Total
IT Audit					
High	1	0	0	0	**1**
Medium	4	5	0	1	**10**
Low	3	2	0	0	**5**
Total	**8**	**7**	**0**	**1**	**16**
Operations Audit					
High	1	0	0	0	**1**
Medium	3	7	6	1	**17**
Low	3	1	12	0	**16**
Total	**7**	**8**	**18**	**1**	**34**
Credit Review					
High	0	0	0	0	**0**
Medium	0	1	0	0	**1**
Low	0	0	0	0	**0**
Total	**0**	**1**	**0**	**0**	**1**
CBoS Issues					
High	0	0	0	0	**0**
Medium	0	0	0	0	**0**
Low	0	0	0	0	**0**
Total	**0**	**0**	**0**	**0**	**0**
Total					
High	1	0	0	0	**2**
Medium	3	8	6	1	**28**
Low	3	1	12	0	**21**
Total	**7**	**9**	**18**	**1**	**51**

BRANCH AUDIT ISSUES **

	Q4 2018	Added	Solved	Adj *	Q4 2019
High	14	9	10	4	**17**
Medium	34	18	17	-3	**32**
Low	37	28	21	-1	**43**
Total	**85**	**55**	**48**	**0**	**92**

** Adjusted issues include upgraded, downgraded and merged issues*

*** Compliance based issues where the count may include the same issue recurring in several branches*

WORK PERFORMED IN 2019

During 2019, the Internal Audit issued 25 reports and 9 memos.

الأعمال المنفذة في العام ٢٠١٩

خلال العام ٢٠١٩، أصدر التدقيق الداخلي ٢٥ تقريراً و٩ مذكّرات.

TYPE	Reports	Memos
Branch Audit	10	-
Operations Audit	4	4
IT Audit	1	3
Credit Review	1	1
Investigation	3	-
Foreign Entities	-	1
Audit Committee	6	-
TOTAL	**25**	**9**

GENERAL OVERVIEW

CBOS Circulars and Decisions

During Q4 2019, CBoS issued several decisions and circulars for banks to abide by:

- Correspondence no. 7605 issued by CBoS in December 15, 2019, highlighting the importance of abiding by the decision no. 901 issued in 2012 related to returned checks, especially that some failures were noted in this regards. Hence, banks are requested to make an appropriate use of the list of clients restricted from using checks before granting them a checkbook or a credit facility.
- Decision no. 1742 issued by CBoS in December 2019, which stated the following:
  1- Banks and exchange companies must purchase cross-border remittances received in foreign currencies in favor of the United Nations, embassies, consulates, diplomatic missions, international organizations and institutions at the preferential exchange rate set by the CBoS.
  2- Exchange companies to sell the proceeds of their purchases to banks within one working day, and at the exchange rate applied on the transaction date of article No 1 (mentioned above), plus a margin of three per mil.
  3- Banks to sell the proceeds of their purchases in above requirements 1 & 2, to CBoS within one working day and at the exchange rate indicated on the date of submitting the selling request electronic application, plus a margin of five per mil.

نظرة عامة

قرارات وتعاميم مصرف سورية المركزي

خلال الربع الرابع من العام ٢٠١٩، أصدر مصرف سورية المركزي عدّة قرارات وتعاميم ملزمة للمصارف:

- كتاب مصرف سورية المركزي رقم ٧٦٠٥ الصادر بتاريخ ٢٠١٩/١٢/١٥، والذي يؤكّد على أهمية التطبيق الفعّال لأحكام القرار رقم ٩٠١ الصادر في عام ٢٠١٢ والمتعلّق بالشيكات المرتجعة، وخاصّةً في ظلّ وجود ملاحظات صادرة من قبل مصرف سورية المركزي بهذا الخصوص. وعليه، تمّ الطلب من المصارف الإستفادة الملائمة والإستخدام الأمثل لقوائم الأشخاص المقيّد تعاملهم بالشيكات لدى الإستعلام عنهم وذلك قبل منحهم دفتر شيكات او تسهيلات إئتمانية.
- قرار مصرف سورية المركزي رقم ١٧٤٢ الصادر بشهر كانون الأوّل ٢٠١٩، والذي أشار إلى ما يلي:

١- تلتزم المصارف العاملة وشركات الصرافة المرخّصة بشراء حوالات الأمم المتحدة والسفارات والقنصليات والبعثات الدبلوماسية والمنظمات والمؤسّسات الدولية ومن في حكمها الواردة من الخارج بالقطع الأجنبي بسعر صرف وفقاً لنشرة السعر التفضيلي الصادرة عن مصرف سورية المركزي.

٢- تلتزم شركات الصرافة المرخّصة ببيع حصيلة مشترياتها إلى المصارف المرخصة خلال يوم عمل واحد وبسعر الصرف بتاريخ قيامها بعملية الشراء (المشار اليها أعلاه) مضافاً إليه هامش ٣ بالألف.

٣- تلتزم المصارف المرخّص لها التعامل بالقطع الأجنبي ببيع حصيلة مشترياتها (الواردة في الفقرتين السابقتين) إلى مصرف سورية المركزي خلال يوم عمل واحد وبسعر الصرف عند تاريخ تقديم الطلب إلكترونياً مضافاً إليه هامش ٥ بالألف.

4- Banks to submit electronically their requests to sell foreign exchange to CBoS within one working day, according to the predefined form. Signed requests should be sent the next working day.
5- The said transfers received from abroad (mentioned in article 1) are not included in the bank's operational position.
6- Banks should send electronically to CBoS a weekly statement reflecting all the remittances that are referred to in this decision.

- Circular no. 5801 issued by CBoS in September 2019, regarding the appointment of a Transactions' Monitoring Officer (TMO) in branches despite the requests received from several banks to be exempted from such appointment.

Mr. Karam Bechara (General Manager)

- *Process in BBS is well managed and we are in full compliance with decisions number 901 and 7605.*
- *The existing transaction Monitoring Officers currently review all operations in the branches. The review is completed on time without any delay.*

CBOS Internal Controller Reports

During Q4 2019, CBoS internal controller issued thirteen reports (nine were presented and discussed during the Audit Committee meeting dated December 11, 2019), and the remaining four reports were issued subsequently, pertaining to the financial reports of November 2019, the compliance with anti-money laundering regulations for the period starting from 2017, compliance with IFRS9 instructions related to loans' classification and provisioning as of 30/9/2019 and the financial statements as of 30/9/2019.

The main observations can be summarized as follows:

1- Irregularities in the financial statements resulting mainly from inaccurate booking entries related to Swap contracts between Byblos bank Syria and Byblos Bank Lebanon.
2- Absence of Transactions Monitoring Officer in some BBS branches.
3- Failure to comply with decision No 15. related to the yearly internal audit over the AML section to evaluate the effectiveness of the applied AML

٤- تلتزم المصارف بتقديم طلبات بيع القطع الأجنبي بواسطة الربط الشبكي (أو أيّة وسيلة الكترونية معتمدة) خلال يوم عمل وفق النموذج المعتمد، على أن يتمّ إرسال الطلب الموقع أصولاً في يوم العمل التالي.

٥- لا تدخل الحوالات الواردة من الخارج (المشار اليها سابقا وفقاً للمادة "١") ضمن مركز القطع التشغيلي للمصرف.

٦- تلتزم المصارف أن ترسل إلكترونياً بشكل أسبوعي النماذج الخاصة بالقرار والتي تظهر جميع الحوالات المشار اليها ضمن هذا القرار.

- تعميم مصرف سورية المركزي رقم ٥٨٠١ الصادر في أيلول ٢٠١٩، والمتعلّق بتعيين مسؤول مراقبة عمليات في جميع الفروع رغم طلبات المصارف لإعفائها.

جواب السيد كرم بشارة - المدير العام

- *تتمّ إدارة هذه العملية في بنك بيبلوس بشكل جيّد، والبنك ملتزم بشكل كامل بالقرارات رقم ٩٠١ و٧٦٠٥.*
- *يقوم مراقبو العمليات (TMO) الموجودون حالياً بمراجعة كافة العمليات المنفّذة في فروع المصرف. وعملية المراجعة تتمّ ضمن الوقت المحدّد ودون أيّ تأخير.*

تقارير المراقبين الداخليين لمصرف سورية المركزي

خلال الربع الرابع من عام ٢٠١٩ قام مراقبي مصرف سورية المركزي بإصدار ثلاثة عشر تقرير (تسعة تقارير تمّ تقديمها ومناقشتها خلال إجتماع لجنة التدقيق بتاريخ الحادي عشر من كانون الأوّل لعام ٢٠١٩)، أمّا التقارير الأربعة المتبقية تمّ إصدارها لاحقاً، وهذه التقارير متعلّقة بالتدقيق على نماذج الأوضاع المصرفية العائدة لشهر تشرين الثاني ٢٠١٩، الإلتزام بقرارات (إجراءات) مكافحة غسل الأموال للفترة منذ بداية عام ٢٠١٧، الإلتزام بتعليمات تطبيق معيار التقارير المالية الدولي رقم ٩ والمتعلّق بتصنيف الديون ومخصّصاتها (تكوين المؤونات) كما هو الوضع بتاريخ ٣٠ أيلول ٢٠١٩، والقوائم (البيانات) المالية كما هي بتاريخ ٣٠ أيلول ٢٠١٩.

يمكن تلخيص الملاحظات الرئيسية على الشكل التالي:

١- مخالفات في القوائم المالية ناتجة بشكل رئيسي من إدخال خاطئ متعلّق بعقد مبادلة بين بنك بيبلوس سورية وبنك بيبلوس لبنان.

٢- عدم وجود مسؤول مراقبة عمليات في بعض فروع المصرف.

٣- قصور إلتزام المصرف بقرار مصرف سورية المركزي رقم ١٥ وذلك بخصوص عدم قيام إدارة التدقيق الداخلي وبشكل سنوي بمراجعة فعالية برنامج مكافحة غسل الأموال وتمويل الإرهاب لا سيّما السياسات والإجراءات والضوابط الخاصة

program, policies and procedures, in addition to the absence in the internal audit manual of the methodology of auditing AML processes and related controls. Also, absence of BOD assignment of external auditors for the assessment of the AML internal procedures and controls.

بمكافحة غسل الأموال وتمويل الإرهاب في المؤسّسة المصرفية، وعدم وجود دليل سياسات أو إجراءات مكتوبة للتدقيق الداخلي فيما يتعلّق بآلية تدقيق وتقييم ضوابط وإجراءات مكافحة غسل الأموال وتمويل الإرهاب مذكورة في دليل سياسات واجراءات التدقيق الداخلي. بالإضافة إلى عدم تكليف التدقيق الخارجي من قبل مجلس الإدارة بتقييم الإجراءات والضوابط الداخلية للمؤسّسة المصرفية للتأكّد من إلتزامها بالضوابط القانونية والتنظيمية والرقابية الخاصّة بمكافحة غسل الأموال وتمويل الإرهاب وعرض نتائج هذه المراجعة في كتاب مجلس الإدارة.

4- Absence of a periodic update of the KYCs especially those related to high risk clients.

٤- عدم قيام المصرف بتحديث دوري لنماذج أعرف عميلك وخاصّة المتعلّقة بالزبائن ذوي المخاطر المرتفعة.

5- Failure to follow-up on obtaining an updated commercial register for companies.

٥- عدم متابعة المصرف للحصول على سجلات تجارية محدّثة للشركات.

6- Several required documents were not obtained upon opening/updating accounts related to companies.

٦- عدم قيام المصرف بالحصول على عدد من المستندات المطلوبة عند فتح أو تحديث ملفات فتح حساب عائدة للشركات.

7- Absence of Compliance clearance over a high-risk client (company account).

٧- عدم الحصول على موافقة إدارة الإلتزام لأحد العملاء ذوي المخاطر المرتفعة (حساب شركة).

8- Some executive tasks are being performed by the Compliance (modifying clients' middle names, cancellation of some old proxies).

٨- بعض المهام التنفيذية تمّ إجراؤها من قبل إدارة الإلتزام (تعديل الإسم الأوسط للعملاء، إلغاء بعض الوكالات القديمة).

9- Improper allocation of economic sectors for some clients.

٩- تصنيف العملاء ضمن قطاعات إقتصادية خاطئة.

10- CBoS internal controllers did not perform an audit mission over AML since year 2014.

١٠- عدم تنفيذ مهمّة تدقيق إجراءات مكافحة غسل الأموال وتمويل الإرهاب في المصرف من قبل المراقبين المصرفيين الداخليين منذ عام ٢٠١٤.

Mr. Karam Bechara (General Manager)

1-Case raised to related parties, correction was provided by Temenos Team and applied on system "Live" 02-Feb-2020, system corrected itself and IHLD FX were deleted, Bank Financial Statement are in order.

4- Action plan was submitted to BOD.

6- We follow with branches the raised issues to be rectified.

8- Middle name of the customer "40.68 Father Mid Name, 40.72 Mother Mid Name, 40.73 Companion Mid Name" (work is in progress to develop the core banking system to limit these amendments to the Branch Coordination Unit). Cancellation of some old proxies that cannot be canceled by the branches. CRF already opened and the project is under testing.

9-The accounts of the insurance companies have been listed below under the economic sector 5200 based on the request of the Legal Compliance, as

جواب السيد كرم بشارة - المدير العام

١- تمّ توجيه الملاحظة للجهات المعنية، وتمّ التوصّل لتصحيح المشكلة عن طريق فريق النظام المصرفي Temenos وتمّ تطبيقه على النظام بتاريخ ٢ شباط ٢٠٢٠، صحح النظام نفسه وتمّ حذف IHLD FX. وأصبحت القوائم المالية بالمصرف صحيحة.

٤- تمّ إعداد وتقديم خطّة عمل لمجلس إدارة المصرف.

٦- نقوم بمتابعة الملاحظات مع فروع المصرف لحلّها.

٨- الإسم الأوسط للعميل " الإسم الأوسط للأب، الإسم الأوسط للأم، الإسم الأوسط للشريك" (نعمل حالياً على تطوير النظام المصرفي لحصر هذه التعديلات بوحدة تنسيق الفروع).
إلغاء بعض الوكالات القديمة والتي لا يمكن الغاؤها من قبل الفروع. تمّ إرسال طلب تعديل للظام المصرفي، وهو قيد الإختبار.

٩- حسابات شركات التأمين المدرجة ضمن بند القطاع الإقتصادي ٥٢٠٠ جاء بناءً على طلب من وحدة الإمتثال وذلك كون شركات

the insurance companies in Syria based on FATCA are not financial companies but they are active companies since they do not sell any financial products.

Penalties and Warning letters

During Q4 2019, BBS was subject to penalties reaching a total of SYP 450K as follows:

1- SYP 100,000, for the inaccurate reporting to CBoS according to decision no. 902 related to the classification of loans in Q1 and Q2 2017.
2- SYP 100,000, for the non-compliance with circular no. 536 dated 2014, for accepting the settlement of export undertaking and issuing the settlement letter with a date preceding the date of shipping goods.
3- SYP 100,000, for the non-compliance with decision no. 762 dated 2011, for selling foreign currencies to non-Syrian through cash transactions instead of transfers.
4- SYP 30,000, for the inaccurate preparation of the financial statements' templates for August 2016.
5- SYP 20,000, for the inaccurate reporting to CBoS about the Bank's liquidity as at July and August 2016.
6- SYP 100,000, for not providing the Banking Supervision department within CBoS with the internal controllers' performance half-year assessment during Q2 and Q4 2016.

And 2 warning letters as follows:

1- Inability to provide the CMLC with walk-in transactions performed before 2/2/2017 due to weaknesses in the core banking system.
2- Non-disclosure of credit interest rates related to FCY deposits for November and December 2016.

Karam Bechara (General Manager)

Blame letter 1: Based on the requirements of CBOS and Decision Nr. 15, our bank has developed the banking system in order to include the ID information on Barcode Readers so that we can search for the names for all walk-in transactions. We went live from 02/02/2017.
Therefore, we were able to respond to inquiries accurately with automated data.

التأمين السورية ووفقاً لقانون "FATCA" ليست شركات مالية ولكنّها شركات فعالة حيث لا تبع أيّة منتجات مالية.

كتب الإنذار والغرامات المالية

خلال الربع الرابع من العام ٢٠١٩، تعرّض بنك بيبلوس سورية لعدّة غرامات ماليّة بمجموع ٤٥٠ ألف ليرة سوريّة، مفصّلة على الشكل التالي:

١- ١٠٠،٠٠٠ ليرة سورية، نتيجة عدم دقّة التقارير المقدّمة لمصرف سورية المركزي وبما يتوافق مع القرار ٩٠٢ المتعلّق بتصنيف الديون في الربع الأوّل والثاني من العام ٢٠١٧.
٢- ١٠٠،٠٠٠ ليرة سورية، نتيجة عدم الإلتزام بتعميم رقم ٥٣٦ لعام ٢٠١٤، لجهّة قبول المصرف تسديد تعهّد التصدير وتنظيم مذكّرة تسديد بتاريخ سابق لتاريخ خروج البضاعة من القطر.
٣- ١٠٠،٠٠٠ ليرة سورية، بسبب عدم الإلتزام بالقرار رقم ٧٦٢ لعام ٢٠١١، وذلك لجهّة بيع عملات أجنبية لأشخاص غير سوريين بشكل نقدي بدلاً من حوالات.
٤- ٣٠،٠٠٠ ليرة سورية، لجهّة عدم دقّة إعداد نماذج البيانات المالية الدورية للأوضاع المصرفية لشهر آب ٢٠١٦.
٥- ٢٠،٠٠٠ ليرة سورية، لجهّة عدم دقّة التقارير المرسلة لمصرف سورية المركزي فيما يتعلّق بسيولة المصرف كما هي بشهر تمّوز وآب ٢٠١٦.
٦- ١٠٠،٠٠٠ ليرة سورية، نتيجة عدم تزويد مديرية مفوضية الحكومة لدى المصارف بالتقييم النصف السنوي للمراقبين الداخليين وذلك خلال النصف الأوّل والنصف الثاني من العام ٢٠١٦.

وكتابي إنذار مفصّلين على الشكل التالي:

١- عدم القدرة على تزويد هيئة مكافحة غسل الأموال وتمويل الإرهاب بكافة العمليات العابرة قبل تاريخ ٢٠١٧/٠٢/٠٢ وذلك نتيجة عدم كفاءة وفاعلية النظام المعلوماتي في المصرف.
٢- عدم الإلتزام بالتصريح عن معدّلات الفوائد الدائنة عن الودائع بالقطع الأجنبي وذلك عن شهري تشرين الثاني وكانون الأوّل من العام ٢٠١٦.

جواب السيد كرم بشارة - المدير العام

كتاب تنبيه ١: بناء على متطلبات قانون مصرف سورية المركزي وقرار رقم ١٥ تم تطوير النظام المصرفي لنتمكن من ادخال وقراءة معلومات الهوية الشخصية بواسطة قارئة بيانات الكترونية وبالتالي البحث عن أسماء العملاء العائدين للعمليات العابرة. وكان التطبيق بتاريخ ٢ شباط ٢٠١٧ وبالتالي أصبح بالإمكان الرد على الاستفسارات بدقة بواسطة بيانات ممكننة.

جميعها تتعلّق بسنوات ٢٠١٤ و٢٠١٦ و٢٠١٧ وتمّ حلّها والإبلاغ عنها بشكل صحيح مسبقاً.

All related to years 2014, 2016 and 2017 and were solved and properly reported previously.

BRANCH NETWORK

During Q4 2019, we issued the audit report related to Abou Remmaneh and the overall control environment was Below Acceptable. Accordingly, Branch Management set an action plan to address the identified observations. Also, we issued the audit reports over Lattakia and Swedaa branches.

The below table shows the audit on the branches with their related rating:

شبكة الفروع

خلال الربع الرابع من عام ٢٠١٩، أصدرنا تقرير التدقيق لفرع أبو رمانّة وكانت البيئة الرقابية بالإجمال دون المقبول. ووفقاً لذلك وضعت إدارة الفرع خطّة عمل لمعالجة الملاحظات المذكورة. أضف إلى ذلك، قيامنا بإصدار تقريري تدقيق لفرعي اللاذقية والسويداء.

الجدول المبين أدناه يوضح تقييم الفروع من خلال زياراتنا المتعدّدة:

NO.	BRANCHES	2017	2018	2019
1	Abou Remmaneh	2.88	2.93	2.43
2	Mazzeh	3.05	2.92	3.08
3	Homs*	3.02	3.00	2.93
4	Aleppo	3.14	3.23	3.20
5	Lattakia	2.97	2.85	3.04
6	Tartous	3.08	3.02	2.94
7	Abbasiyeen	3.10	3.05	3.01
8	Hama	2.61	3.45	3.36
9	Hoch Blass*	-	-	-
10	Aleppo (2)*	-	-	-
11	Sweeda	2.86	3.04	3.06
12	Bab Sharqi Office	3.35	3.37	3.35
	AVERAGE RATING	**3.00**	**2.97**	**3.04**

**Closed branches*

Rating: Poor <1.5 –1.5≤ Below Acceptable<2.5 –2.5≤ Acceptable<3.5 – Above Acceptable ≥3.5

OPERATIONS

During Q4 2019, we issued the transfers and payments audit report and the control environment was assessed as Acceptable.

In addition, we finished the audit over the Central Operations unit and the report is in progress. Moreover, we started the audit over Risk Management unit.

العمليات

خلال الربع الرابع من العام ٢٠١٩، أصدرنا تقرير التدقيق لقسم الحوالات والمدفوعات وكانت البيئة الرقابية الشاملة مقبولة. بالإضافة لذلك، تمّ الإنتهاء من التدقيق على وحدة العمليّات المركزية والتقرير قيد الانجاز. كذلك بدأنا مهمّة التدقيق على وحدة إدارة المخاطر.

INFORMATION TECHNOLOGY

BBS Core Banking System: BBS Management decided to acquire a new core banking system with estimated delivery date on January 2021. Currently, negotiation with the new system provider (LYST Technologies Company) is in progress.

SYGS (Syrian Gross Settlement System Provided by CBoS): The SYGS system is not interfaced with T24, whereby transactions committed on T24 are required to be manually inputted again on the related SYGS web

تكنولوجيا المعلومات

النظام المصرفي المركزي لبنك بيبلوس سورية: قرّرت إدارة بنك بيبلوس سورية شراء نظام مصرفي مركزي جديد للمصرف، ومن المتوقّع استثمار النظام الجديد في كانون الثاني لعام ٢٠٢١. حالياً، المفاوضات جارية مع الشركة الموردة (LYST Technologies Company).

نظام التسويات الفوريّة الإجمالي من مصرف سورية المركزي (SYGS): نظام SYGS غير مرتبط بالنظام المصرفي T24، بحيث يستوجب القيام يدوياً بإعادة إدخال العمليات التي تتمّ على النظام المصرفي على نظام SYGS والعكس بالعكس.

application and vice versa. However, BBS Management decided to keep the current process as it stands until the implementation of the new core banking system.

On the other hand, the connection between BBS and CBoS was directly linked to BBS internal network instead of passing through an isolated network, which might expose the Bank to system attacks. Moreover, a backup for the main router that connects BBS to CBoS was not in place.

However, following the visit of BBL Telecom team to BBS in December 2019, network devices (such as firewalls and routers) were replaced, secure network zones were created in BBS Head Office and DR. In addition, CBOS router in BBS DR was installed in the above mentioned secure network zone, and the CBOS router in Head Office is planned to be moved to this zone before end of January 2020.

Customer Signature Capture Application (SigCap): The SigCap application used in BBS is not interfaced with T24 to automatically get and load customers' details from T24 into SigCap. In addition, T24 and SigCap systems in BBS branches are not integrated to automatically open related customers' signatures when performing a transaction on T24 at branches.

Moreover, the current SigCap application release is obsolete and does not allow enforcing and strengthening security and password controls. In addition, the "unsuccessful login attempts" feature was not enabled.

BBS SigCap application is running on an outdated Windows operating system and SQL server database, and the database audit trail was not enabled.

It is worth mentioning that the SigCap application was configured in the DR site on June 2019 and a DR plan will be prepared and is expected to be finalized by Q1 2020. Hence, a drill will be consequently performed.

Commercial Portfolio

During the period August 31, 2019 until December 31, 2019, commercial classified direct O/S increased by SYP 839M, from SYP 18,789M to SYP 19,628M; however, remained at 40% of the total commercial portfolio direct O/S, divided between Non-Performing (37%) and Watch list loans (3%).

Although a remedial management was noted through the declassification of two accounts with total direct O/S of SYP 14.5M, and the recovery of SYP 662M in 18 other

قررت إدارة بنك بيبلوس الإبقاء على آلية العمل المتبعة حاليا لغاية الإنتقال الى النظام المصرفي المركزي الجديد.

بالإضافة إلى ذلك، كان الإتصال بين بنك بيبلوس سورية ومصرف سورية المركزي موصولاً مباشرةً مع الشبكة الداخليّة لبنك بيبلوس سورية عوضاً عن المرور من خلال شبكة معزولة، مما قد يعرّض البنك إلى هجمات على نظامه المصرفي. علاوةً على ذلك، لا يوجد راوتر إحتياطي بديل للراوتر الرئيسي الذي يربط بنك بيبلوس سورية مع مصرف سورية المركزي.

من ناحية أخرى، عقب زيارة فريق BBL Telecom إلى سورية في كانون الأوّل ٢٠١٩، تمّ العمل على إستبدال أجهزة شبكة الاتصال (جدران الحماية الألكترونيّة Firewall، أجهزة التوجيه الألكترونيّة Routers)، حيث تمّ إنشاء مناطق آمنة ضمن شبكة الاتصال الداخلية لإدارة المصرف وموقع إدارة الكوارث للمصرف. بالإضافة، تمّ تركيب جهاز التوجيه الإلكتروني الخاص بمصرف سورية المركزي في موقع إدارة الكوارث للمصرف ضمن شبكة الاتصال الامنة، على أن يتمّ تركيب جهاز التوجيه الإلكتروني الخاص بمصرف سورية المركزي في موقع الإدارة العامّة ضمن أيضا شبكة الاتصال الآمنة قبل نهاية شهر كانون الثاني ٢٠٢٠.

نظام تسجيل تواقيع الزبائن (SigCap): لا يوجد ربط بين نظام التواقيع SigCap المستخدم في بنك بيبلوس سورية والنظام المصرفي T24 ليتمّ بشكل تلقائي وآلي تحميل تفاصيل الزبائن من النظام المصرفي إلى نظام التواقيع SigCap. بالإضافة إلى ذلك، لا يوجد ربط بين النظام المصرفي T24 ونظام التواقيع SigCap في الفروع بحيث لا يتمّ إظهار توقيع الزبون بشكل آلي عند إجراء عملية مصرفية على حسابه في الفرع.

علاوةً على ذلك، فإنّ نسخة نظام SigCap المستخدمة حالياً قديمة وغير محدّثة، وبالتالي فإنّ تقوية نظام الأمان والتحكّم بكلمات السرّ غير متاحة بوضعه الحالي. بالإضافة إلى ذلك، فإنّ ميزة محاولات الدخول غير الناجحة غير مفعّلة. كما يتمّ تشغيل نسخة بنك بيبلوس سورية من نظام SigCap على نسخة قديمة من نظام التشغيل Windows وقاعدة البيانات SQL server database ولم يتمّ تفعيل آلية التدقيق الخاصّة بتعقّب أثر أيّة تعديلات تتمّ على مستوى قاعدة البيانات.

من الجدير ذكره أنّه قد تمّ تهيئة نظام SigCap ليتلاءم في غرفة الطوارئ في شهر حزيران من عام ٢٠١٩، ومن المتوقّع الإنتهاء من تحضير خطّة الطوارئ في الربع الأوّل من عام ٢٠٢٠. وعليه، سيتمّ إجراء دورة تدريب.

محفظة التسهيلات

خلال الفترة الممتدّة من ٣١ آب ٢٠١٩ ولغاية ٣١ كانون الأوّل ٢٠١٩، ازدادت التسهيلات التجارية المباشرة المستعملة والمصنّفة بمقدار ٨٣٩ مليون ليرة سورية، من ١٨،٧٨٩ إلى ١٩،٦٢٨ مليون ليرة سورية. ولكن حافظت على ٤٠% من إجمالي محفظة التسهيلات التجاريّة المستخدمة، وتوزّعت ما بين قروض غير منتجة (٣٧%) وقروض تتطلّب إهتماماً خاصّاً (٣%). بالرغم من ملاحظة إجراءات إداريّة لمعالجة الوضع من خلال إلغاء تصنيف قرضين بلغ مجموعهما ١٤٠٥ مليون ليرة سورية، بالإضافة إلى تحصيل ٦٦٢ مليون ليرة سورية من ١٨ حساباً مصنّفاً. ومع ذلك تم تصنيف ٥

classified accounts; yet, five accounts were newly classified with total direct O/S of SYP 689.5M, in addition to the increase in O/S of the remaining classified accounts.

حسابات جديدة بلغ مجموع تسهيلاتها التجاريّة المباشرة ٦٨٩٠٥ مليون ليرة سورية، بالإضافة للزيادة بالتسهيلات التجارية المصنفة المتبقية.

Karam Bechara (General Manager)

BRANCH NETWORK

An action plan to Abou Remaneh branch was put in place.

جواب السيد كرم بشارة - المدير العام

شبكة الفروع

تمّ وضع خطة عمل لفرع أبو رمانة.

INFORMATION TECHNOLOGY

The new Core Banking System will be in production in December 2021 in accordance with the current project plan. CBoS was informed with that date.

SYGS (Syrian Gross Settlement System Provided by CBoS):

We purchased a Fiber line in Tartous (FTTP) as a Backup in October 2019.

Customer Signature Capture Application (SigCap):

New core banking system will solve the interface issue between T24 and SigCap, or any alternative signature solution. Noting that implementing an interface between T24 and SigCap will cost us around USD 45,420.

- *IS Support already integrated BBL's SigCap with active directory and this successful integration has addressed all similar issues raised in BBS report. Overseas SigCap's integration were postponed due to higher priority tasks (T24 upgrade project) and shortage in IS resources. Tentative date to tackle and integrate SigCap Syria with active directory in 2020.*
- *The current platform is the only one supported by the supplier. We should consider to upgrade the application in order to use the recommended OS and DB versions and then we can enable the auditing.*
- *Hyper-V server in DR has been implemented on SRDRHYPERV-1. We will replicate SigCap on this server in DR in Q2 2020.*

تكنولوجيا المعلومات

النظام المصرفي الجديد سيكون بالإستثمار في شهر كانون الأوّل لعام ٢٠٢١ وفقاً لخطة المشروع الحالية. تمّ إعلام المصرف المركزي في سورية بهذا التاريخ.

نظام التسويات الفوريّة الإجمالي من مصرف سورية المركزي:

تمّ شراء ضوئي كخط اتصال إحتياطي في شهر تشرين الأوّل من عام ٢٠١٩.

نظام تسجيل تواقيع الزبائن (SigCap):

سيتمّ من خلال النظام المصرفي الجديد حل مشكلة التقابل بين النظام المصرفي ونظام التواقيع، أو أي نظام تواقيع آخر بديل. مع ملاحظة أنّ بناء هذا التقابل حالياً بين النظام المصرفي ونظام التواقيع سيكلّف المصرف حوالي ٤٥،٤٢٠ دولار.

- *تمّ من قبل وحدة دعم تكنولوجيا المعلومات دمج نظام تواقيع بنك بيبلوس لبنان مع الفهرس النشط وهذا الدمج الناجح قد عالج جميع القضايا المماثلة التي ظهرت في تقرير بنك بيبلوس سورية. تمّ تأجيل دمج نظام التواقيع بسبب الأولوية العالية لمهام ترقية النظام المصرفي والنقص في الموارد البشرية لقسم تكنولوجيا المعلومات. التاريخ المبدئي لدمج نظام التواقيع الخاص ببنك بيبلوس سوريا مع الفهرس النشط هو في عام ٢٠٢٠.*
- *الإصدار الحالي لنظام التواقيع هو الوحيد الذي يدعمه المورد. يتوجّب الأخذ بعين الإعتبار ترقية التطبيق من أجل تحديث نظام التشغيل وقاعدة البيانات الموصى بها من خلال تقرير التدقيق ومن بعدها يمكن العمل على تفعيل التدقيق.*
- *تمّ انجاز تطبيق HYPER-V في الموقع البديل للمصرف على الخادم SRDRHYPERV-1. وسوف يتم استنساخ SIGCAP على هذا الخادم في الموقع البديل للمصرف خلال الفصل الثاني من العام ٢٠٢٠.*

COMMERCIAL PORTFOLIO

During the last quarter of 2019, the market in general was encountering a squeeze in cash due to the continuous devaluation in local currency and the existing restriction on cash withdrawal "not exceeding SYP 10 mio per day for each client" thus a delay in payment was witnessed along with a downgrade in classification for some existing clients in our commercial portfolio.

It is worth mentioning that during the last quarter of 2019 the number of reclassified customers is five, with an

محفظة التسهيلات

خلال الربع الأخير من عام ٢٠١٩، واجه السوق عمومًا ضغوطا نقدية بسبب الإنخفاض المستمر في قيمة العملة المحلية والقيود الحالية على السحب النقدي "التي لا تتجاوز ١٠ ملايين ليرة سورية في اليوم الواحد لكلّ عميل" وبالتالي لوحظ تأخير بالدفعات مع انخفاض للتصنيف لبعض العملاء الحاليين في المحفظة التجارية.

تجدر الإشارة الى أنّه خلال الربع الأخير من عام ٢٠١٩، بلغ عدد العملاء الذين تمّ خفض تصنيفهم خمس عملاء برصيد إجمالي ٦٧٦

outstanding balance as of 31.12.2019 of SYP 676 mio divided as follow: stage two for SYP 664 mio and stage three for SYP 12 mio only.
As for the increasing amount in the remaining classified accounts, it is due to accumulated interest covering this period of time.
The commercial team was able to achieve the budget with a shortage of circa SYP 1.4 bio, given the existing difficulties in the market, the newly applied regulation along with the pre-cautious measurement taken by our management, which narrowed the existing potential list to maneuver among and tight our lending term in SYP.

مليون ليرة سورية بتاريخ ٣١ كانون الأوّل ٢٠١٩ . وتوزّعت كالتالي عملاء المرحلة الثانية ٦٦٤ مليون ليرة سورية وعملاء المرحلة الثالثة ١٢ مليون ليرة سورية فقط.
أمّا فيما يتعلّق بالزيادة في الحسابات المصنّفة المتبقية، فهي ناتجة عن الفوائد المتراكمة التي تغطّي هذه الفترة الزمنية.

تمكّن فريق التسليف من تحقيق الموازنة مع وجود نقص بحوالي ١.٤ بليون ليرة سورية رغم الصعوبات الحالية في السوق والقوانين الجديدة مع معايير الحيطة المطبّقة من قبل إدارة المصرف، والذي أدّى الى تقليص اللائحة المحتملة للإقراض بالليرة السورية.

INTERNAL CONTROL ASSESSMENT

In this year-end report, an assessment over the internal controls and major weaknesses in Byblos Bank Syria is provided for each function. The purpose of this assessment is to help the Audit Committee in assuming its responsibility of overseeing the control environment of the Bank.

This control assessment is prepared by the Internal Audit based on our knowledge gained during our various audits; all the points below are reviewed and commented by Management.

تقييم الرقابة الداخلية

في تقرير نهاية هذا العام، تمّ تقييم الرقابة الداخلية ونقاط الضعف الرئيسية في بنك بيبلوس سورية وفقاً لوحدات العمل. الهدف من هذا التقييم هو مساعدة لجنة التدقيق في مسؤولياتها لجهّة الإشراف على البيئة الرقابية في المصرف.

إنّ هذا التقييم قد أُعدّ من قبل التدقيق الداخلي إستناداً إلى المعلومات التي حصلنا عليها من خلال زيارات التدقيق المختلفة التي قمنا بها. إنّ جميع النقاط المشار اليها أدناه، قد تمّت مراجعتها والتعليق عليها من قبل الإدارة.

CORPORATE GOVERNANCE

الحوكمة

CONTROLS

الرقابة

Board of Directors (BOD)

* The Bank has 8 active Board members.
* 4 committees at the Board level.
  - Audit committee.
  - Risk committee.
  - Corporate Governance committee.
  - Nomination and Compensation committee.

أعضاء مجلس الإدارة

* يتألف مجلس الإدارة من 8 أعضاء فاعلين.
* أربع لجان على مستوى مجلس الإدارة.
  - لجنة التدقيق.
  - لجنة المخاطر.
  - لجنة الحوكمة.
  - لجنة التعيين والتعويض.

Audit Committee

Audit Committee consists of 2 Board members that meet quarterly.

لجنة التدقيق

تتألف لجنة التدقيق من 2 أعضاء من مجلس الإدارة وتجتمع فصليا.

Internal Audit

* Independent Internal Audit function that derives its authority directly from the Audit Committee of the Board and has full support from the Group Internal Audit when needed.
* The Internal Audit reports directly to the Audit Committee and has unrestricted access to it at all times.

التدقيق الداخلي

* وظيفة التدقيق الداخلي المستقلة التي تستمد سلطتها مباشرة من لجنة التدقيق التابعة للمجلس وتحظى بدعم كامل من التدقيق الداخلي للمجموعة عند الحاجة.
* تقارير التدقيق الداخلي ترفع مباشرة إلى لجنة التدقيق ولها حق الوصول غير المقيد إليها في جميع الأوقات.

Core Banking System

* A solid core banking system (T24) able to implement limits, segregation of duties and dual control on almost all banking activities.

جوهر النظام المصرفي

* إنّ جوهر النظام المصرفي (T24) قادر على تطبيق سقوف العمل، وفصل المهام، والرقابة المزدوجة على معظم أنشطة المصرف.

Others

* Code of Conduct and whistle blowing policy formally established.

أمور أخرى

* تمّ وضع القواعد المسلكية وسياسة الإخبار قيد التطبيق بشكلٍ رسمي.

TREASURY AND CAPITAL MARKETS

الخزينة والأسواق المالية

CONTROLS

الرقابة

* Treasury and capital markets activities are segregated and controlled by an independent back office.
* Approved Market Risk Policies.
* Reporting to the Central Bank of Syria is reviewed by the Finance.
* Updated Treasury procedure.

*جميع أنشطة الخزينة والأسواق المالية منفصلة، وتتمّ مراقبتها من قبل وحدة مستقلة.
*سياسات مخاطر السوق موافق عليها.
* التقارير المرسلة إلى المصرف المركزي تتمّ مراجعتها من قبل الإدارة المالية.
* إجراءات عمل محدّثة لأنشطة الخزينة.

ASSESSMENT AND WEAKNESSES

Acceptable

* Reporting to the Central Bank of Syria is manually performed.

التقييم ونقاط الضعف

مقبول

* التقارير المرسلة إلى المصرف المركزي السوري تُعدّ بشكلٍ يدوي.

COMMERCIAL LENDING

التسليف التجاري

CONTROLS

الرقابة

* Updated and Approved Credit Policy and Procedure Manual (CPPM) that sets the credit process.
* Commercial proposals are approved by BBS Credit Committee.
* Independent Credit Administration Department (CAD) in charge of inputting the limits, pricing, checking and safeguarding the collateral documentation before the disbursement of the loans.
* Monitoring of the accounts by the Commercial Department.
* Adequate provisions on classified loans.
* Review of credit proposals by a Senior Credit Risk Analyst before being circulated to the Credit Committee.

* سياسة التسليف ودليل إجراءات عمل (CPPM) الخاصّة بمنح التسليفات محدثة و موافق عليها.
* القروض التجارية المقترحة موافق عليها من قبل لجنة التسليف في بنك بيبلوس سورية.
* مديرية مستقلة لإدارة التسليف، معنيّة بإدخال سقوف التسهيلات، والتسعير، والتحقّق من مستندات الضمانات وضمان حفظها قبل صرف القروض.
*مراجعة الحسابات من قبل مديرية التسليف التجاري.
* مؤونة كافية للقروض المصنّفة.
* مراجعة السلف التجارية المقترحة من قبل محلّل رئيسي لمخاطر الائتمان وذلك قبل عرضها على لجنة التسليف.

ASSESSMENT AND WEAKNESSES

التقييم ونقاط الضعف

Acceptable

مقبول

* As of December 2019, classified loans amounted to SYP 19,628M and represented 40% of the total portfolio direct outstanding (Non-performing loans: 37% and Watch list: 3%).
* Information on performing borrowers (credit application renewals and financials) is not timely updated.
* Existence of large excesses not properly approved.

* بتاريخ كانون الأوّل ٢٠١٩، بلغ إجمالي القروض المصنّفة ١٩،٦٢٨ مليون والتي تشكّل نسبة ٤٠% من إجمالي محفظة التسليفات التجارية المباشرة المستعملة (القروض غير المنتجة: ٣٧% والقروض التي تتطلّب إهتماماً خاصاً ٣%).
* المعلومات عن الزبائن المدينة (تجديد طلب التمويل والبيانات المالية المحدّثة) لا يتمّ تحديثها بوقتها.
* وجود عدد من التجاوزات الكبيرة (لسقوف التسهيلات الممنوحة) لم تتمّ الموافقة عليها بشكل صحيح.

CONSUMER BANKING

الخدمات المصرفية

A. BRANCH NETWORK

أـ شبكة الفروع

CONTROLS

الرقابة

* A Network of 10 branches, 2 offices and 21 ATMs.
* Robust online system with limits, authorizations and security.
* A Branch Coordination Unit (BCU) that monitors all the branches.
* Machines for banknotes packaging and binding according to CBoS regulations are available in all branches.
* Monthly follow-up by the BCU over unpaid credit cards and overdrawn accounts.
* ID reader machine used to complete CIF data in compliance with CBoS regulation.

* تتألف شبكة الفروع في بنك بيبلوس سورية، من ١٠ فروع ومكتبين للعمليات المصرفية و ٢١ جهاز صرّاف آلي.
* نظام معلوماتي قوي ومباشر (online system) مع سقوف، وموافقات ونظام آمان.
*وحدة تنسيق الفروع تقوم بمراقبة جميع الفروع.
* تمّ اعتماد آلات لتعبئة وتغليف النقد في جميع الفروع وفقاً لتعليمات المصرف المركزي السوري.
*متابعة شهرية من قبل وحدة تنسيق الفروع على مستحقات بطاقات الإئتمان غير المدفوعة والحسابات المكشوفة.
*قارئة بيانات الكترونية خاصّة لقراءة معلومات الهوية الشخصية إلتزاماً مع قرار مصرف سورية المركزي.

* The procedures for CIF & Account Opening, KYC, AML & CFT, Cash Operations and Specimen of Signatures are updated and validated.
* The queuing system is already installed in 6 branches.
* Control over amendment and correction of value dates is being performed by Branch Coordination Unit (except for transactions executed through open version).
* Control measures over the processing of clients' checkbooks requests on T24, where a new message "Account has Undelivered Orders" will be displayed upon the issuance of a new checkbook for a customer who has undelivered checkbook on the related account.
* Second authorization from BCU is needed whenever the number of requested checkbooks is greater than one checkbook for the same type.
* Tellers are no longer able to see the balances of their tills. For any differences, tellers must refer to the Branch Management in order to check the difference between the physical and system balance.
* Employees are restricted on T24 from viewing other staff accounts.

ASSESSMENT AND WEAKNESSES

Acceptable

* Non-existence of electronic registers (Proxy, Fax, Credit Cards, Safe Boxes, etc.).
* End of day control reports are not generated in one push button.
* Improper physical security in the banking offices (e.g. Unprotected glass).
* 2 branches (Hosh Blass & Homs) and 1 Banking Office (IUST) are temporarily closed.
* 6 ATMs out of 21 are currently out of service.
* Absence of procedure for granting facilities against cash margin at branch level.
* ABMs (AML/CFT Compliance Officer at the Branch) do not have any control tool in order to be able to monitor the clients' accounts movements and to ensure correctness of declared yearly income range in the KYCs.
* Control weakness in the cash handling in most of BBS branches, i.e. delivering cash to clients without counting them in their presence in some instances, cash count of tills/vaults in the absence of the branch management.
* Lack of trainings to Branch employees, with regards to local regulations and T24 system (except for Damascus

* تمّ تحديث الإجراءات العائدة لملف تعريف العميل وفتح الحسابات، إعرف عميلك & مكافحة غسل الأموال وتمويل الإرهاب، العمليات النقدية ونماذج التواقيع، كما تمّت المصادقة عليها.
* تمّ تركيب نظام الانتظار في ٦ فروع.
* الرقابة على تعديل وتصحيح تاريخ الحقّ يتمّ من قبل وحدة تنسيق الفروع (باستثناء العمليات المنفّذة من خلال open version).
* معايير رقابية على طلبات إصدار دفاتر شيكات العملاء على النظام المصرفي T24، حيث سيتمّ عرض رسالة "Account has Undelivered Orders" عند إصدار دفتر شيكات جديد على حساب عميل يملك دفتر شيكات لم يتمّ تسلّمه بعد.
* طلب إصدار أكثر من دفتر شيكات واحد من نفس النوع ولنفس العميل يحتاج إلى موافقة ثانية من قبل وحدة تنسيق الفروع.
* أمناء الصناديق غير قادرين على معرفة أرصدة صناديقهم. وعند وقوع أي فرق في الصندوق يجب على أمناء الصندوق مراجعة إدارة الفرع للتحقق من الفرق ومطابقة الأرصدة بين النقد الفعلي والرصيد على نظام T24.
* لا يمكن للموظف الاطلاع على حسابات الموظفين الآخرين على النظام المصرفي.

التقييم ونقاط الضعف

مقبول

* عدم وجود سجلات إلكترونية (خاصّة فيما يتعلّق بالوكالات، تعليمات الزبائن بواسطة الفاكس، بطاقات الإئتمان، صناديق الأمانات، إلخ...).
* تقارير مراقبة العمليات المصرفية اليومية، لا يتمّ إصدارها دفعة واحدة في نهاية يوم العمل.
* عدم توفّر وسائل الحماية والأمان في مكاتب العمليات المصرفية (الزجاج غير مضاد للرصاص).
* فرعي حوش بلاس وحمص، ومكتب للعمليات المصرفية (IUST) مقفلة بشكلٍ مؤقّت.
* 6 من أصل ٢١ صرّاف آلي هي خارج الخدمة حالياً.
* لا يوجد إجراءات عمل فيما يتعلّق بمنح التسهيلات مقابل ضمانات نقدية على مستوى الفروع.
* لا يوجد أدوات رقابية تتيح لنائب مدير الفرع (مسؤول الإلتزام في الفرع) مراجعة حركة حسابات العملاء من أجل التأكّد من صحّة مجموع الدخل السنوي المصرّح به في ملفات إعرف عميلك.
* ضعف الرقابة في التعاملات بالعمليات النقدية في معظم فروع بنك بيبلوس سورية، على سبيل المثال، في بعض الأحيان يتمّ تسليم العميل النقد دون عدّه أثناء وجوده، بالإضافة لغياب إدارة الفرع عن عمليات العدّ النقدية العائدة للخزنة الرئيسة / الصناديق.
* نقص في البرامج التدريبية لموظّفي الفروع فيما يخصّ التشريعات المحلية والنظام المصرفي T24 (باستثناء موظّفي الفروع

branches' employees who received a training on T24 system).

* Several branch procedures were outdated (e.g. checks module and management of stamps' stocks).
* The system does not restrict cash deposit transaction over a till which already exceeds the insurance limit.

* The process of dormant CIFs on T24 is not in place.

المتواجدين ضمن منطقة دمشق فقد تمّ تدريبهم على نظام المصرفي (T24).

* عدد من إجراءات العمل الخاصّة بالفروع غير محدّثة (الإجراءات الخاصّة بإصدار دفتر الشيكات وإدارة مخزون الطوابع).
* نظام المصرف لا يحتوي على ضوابط تمنع أمين الصندوق من تنفيذ عمليات إيداع في حال تجاوز النقد في الصندوق السقف المحدّد ببوليصة التأمين.

* معالجة الأرقام الخاملة (Dormant CIFs) على النظام المصرفي T24 غير موجودة للعمل بها.

B. RETAIL

ب- قروض التجزئة

CONTROLS

* Debit cards are managed by the Debit Cards Management System (CAMS).
* Centralized retail system is in place to grant retail loans supported with procedures.
* Centralized approval over retail loans.
* Additional approval from Head of cards unit on debit entries performed on the credit cards accounts.

الرقابة

* إدارة بطاقات الدفع المباشر تتمّ من خلال نظام آلي خاص ببطاقات الإئتمان (CAMS).
* بدأ العمل بنظام مركزي خاص بقروض التجزئة، من أجل منح القروض وتمّ تعزيزها بإجراءات عمل.
* إعتماد مركزية الموافقة على قروض التجزئة.
* موافقة إضافية من مدير وحدة البطاقات على العمليات المدينة المنفّذة على الحسابات الخاصّة ببطاقات الإئتمان.

ASSESSMENT AND WEAKNESSES

Acceptable

* Large number of clients with unpaid bills following the political circumstances.
* Accumulated delayed interests of unpaid retail loans are not reflected on T24.

لتقييم ونقاط الضعف

مقبول

* عدد كبير من العملاء المتخلّفين عن تسديد السندات بسبب الظروف السياسية القائمة.
* فوائد التأخير المتراكمة لسندات قروض التجزئة غير المدفوعة غير موجودة على نظام T24.

FINANCE

الشؤون المالية

CONTROLS

* Expenses are controlled on monthly basis, using ACL.
* CBoS reports' preparation was backed-up by documented rules.
* Quarterly visits of external auditors.
* Derogations on interest rates are controlled on monthly basis.
* Any debit entry on P&L accounts related to bank commissions, branches expenses or interests needs second authorization from Accounting Department.
* 72% of regulatory reports were automated on Access.

* Review by one designated Accountant and Head of Finance and Treasury department for the daily Journal of the Accounting unit.
* Financial Control Procedure is updated.

الرقابة

* المصاريف تتمّ مراقبتها بشكل شهري باستخدام برنامج ACL.
* تمّ تدعيم عملية تحضير التقارير الخاصّة بمصرف سورية المركزي بقواعد موثّقة.
* زيارات فصلية من قبل المدقّقين الخارجيين.
* الإستثناءات في نسب الفوائد تتمّ مراقبتها بشكلٍ شهري.

* أيّة عمليات مدينة تنفّذ على حساب الأرباح والخسائر فيما يتعلّق بالعمولات، ومصاريف الفروع أو الفوائد تحتاج موافقة ثانية من قسم المحاسبة.
* تمّت أتمتة 72% من تقارير مصرف سورية المركزي بواسطة برنامج الـ Access.

*مراجعة من قبل مدير الدائرة المالية والخزينة وأحد المحاسبين للتقرير اليومي لقسم المحاسبة.

*إجراءات عمل محدّثة للرقابة المالية.

ASSESSMENT AND WEAKNESSES

Acceptable

* There is no segregation of profiles for authorizations over clients' and Nostro accounts whereby Accounting staff can perform both types of authorizations;

التقييم ونقاط الضعف

مقبول

*لا يوجد فصل في المهام فيما يتعلّق بالموافقات على حسابات الزبائن وحسابات المصرف مع المراسلين Nostro، بحيث أنّ موظّفي

however, daily control reports are generated and reviewed.

* There is no procedure for the Accounting Department covering the handling of the regularization and general expenses accounts.
* Some manual interventions are still needed to produce CBoS reports, despite the automation of many regulatory reports.

المحاسبة يستطيعون إعطاء الموافقات على هذه الحسابات. بالمقابل التقارير الرقابية اليومية تطبع وتراجع.

*لا يوجد إجراءات عمل لقسم المحاسبة تُعنى بمعالجة حسابات التسوية والمصاريف العامّة.

*رغم مكننة معظم تقارير مصرف سورية المركزي مازال هناك حاجة لعدد من التعديلات التي تتمّ يدوياً في عملية إصدار التقارير المطلوبة.

SUPPORT FUNCTION ADMINISTRATION

وظائف الدعم المديرية الإداريّة

CONTROLS

الرقابة

* Clients' checkbook process is automated.
* The archives' premises in Hosh Blass & Abou Remmaneh are organized. The electronic archiving process started, and documents in Hosh Blass are gradually being scanned.
* Storeroom items & fixed assets were subject to a monthly and year-end full physical inventory counts. Archiving procedure was prepared in 2017, however not validated and approved by the BOD.

*عملية إصدار دفاتر الشيكات ممكننة.

*مكان حفظ الأرشيف في فرعي حوش بلاس وأبو رمّانة منظّم. بدأت عملية الأرشفة الإلكترونية ويجري مسح الوثائق في حوش بلاس بشكل تدريجي.

*تخضع الموجودات المحفوظة في المستودع والموجودات الثابتة على التوالي للجرد الشهري وللجرد نهاية العام. تمّ تحضير الإجراءات الخاصة بالأرشفة عام ٢٠١٧، بالمقابل لم يتمّ المصادقة عليها من قبل مجلس الإدارة.

ASSESSMENT AND WEAKNESSES

التقييم ونقاط الضعف

Acceptable

مقبول

* Absence of budget monitoring tool.
* Several security issues related to branches need to be addressed by the Administration Unit:
  - Insufficient coverage of surveillance cameras.
  - Inconsistent back-up time of the DVR recording.
  - Hosh Blass archives' alarm, DVR and water detection systems were not functioning due to absence of electricity power.
  - No water detection system was implemented in all BBS branches, noting that a water flood occurred at Abbassiyeen branch basement and as a result, some original documents were damaged (mainly account opening contracts).
* Procedure related to procurement is outdated as well as the purchasing committee charter.

*غياب نظام المراقبة للموازنة.

*عدد من نقاط الضعف في الإجراءات المتعلّقة بأمن الفروع تحتاج إلى معالجة من قبل المديرية الإدارية:

- المساحات التي تغطّيها الكاميرات غير كافية.
- عدم التناسق في توقيت النسخ الإضافية لتسجيلات الكاميرات.
- أجهزة الإنذار، تسجيلات الكاميرات ونظام تسرب المياه لا تعمل بسبب غياب الطاقة الكهربائية في أرشيف حوش بلاس.
- لم يتمّ تنفيذ أنظمة كشف تسرّب المياه في جميع فروع بنك بيبلوس سورية، علماً بأنّه حصل فيضان للمياه في قبو فرع العبّاسيين ونتيجة لذلك تضرّرت بعض الوثائق الأصلية (عقود فتح الحساب بشكل أساسي).

*إجراءات العمل الخاصّة بالمشتريات أصبحت قديمة كما هو حال ميثاق لجنة المشتريات.

OPERATIONS

العمليات

CONTROLS

الرقابة

* Documentary collection is done at BBS with proper limits and approved procedures.
* The Swift authorization is centralized at BBS.
* Transfers are centralized at BBS.
* Transfers & Payments commissions were automated.

* تنفيذ بوالص التحصيل يتمّ في بنك بيبلوس سورية بسقوف مناسبة وإجراءات عمل موافق عليها.
* الموافقات على عمليات السويفت تتمّ بشكل مركزي في بنك بيبلوس سورية.
* الحوالات في بنك بيبلوس سورية مركزية.
* تمّت مكننة دفع العمولات على الحوالات.

* A BCP plan was established for T24 for BBL to potentially handle critical activities on behalf of BBS Operations during communication disruption in Syria.
* Transfer staff are restricted to execute operations on clients' accounts and on their private accounts.
* Segregation of duties between the authorization on Swift alliance, T24 and RTGS.
* Check clearing in is automated.
* A register is being maintained for responses to other banks' enquiries, amended & returned transfers.
* The procedure related to specimen of signatures was updated.
* Recording Export undertaking letters is currently possible on T24.
* Compliance clearance is obtained by email before processing local outgoing and incoming transfers.
* Trade Finance procedure is updated.

ASSESSMENT AND WEAKNESSES

Acceptable

Import and Export LCs

* Several issued local LGs (35 LGs amounting to SYP 105M as at 14/02/2020, as per the list provided by the Trade finance Unit) are still recorded on T24 as outstanding despite being expired; according to BBS Management these expired LGs will remain outstanding until the reception of the original LGs.

Transfers and payments

* Absence of interface between the RTGS/clearing and T24.
* Absence of a filtering system on RTGS.
* The transfers and payments procedure needs to be updated to include the RTGS processes and new regulations.
* Several weaknesses were identified at T24 level mainly:
  - Possibility of modification of the transfer posting date at TPU level which might lead to a suspense account with a negative balance.
  - Absence of authorization layers at T&P level for the processing of outgoing transfers via clearing and RTGS on T24.
* Transfers' letters received via clearing and signed by other banks' representatives were kept inside non-fire proof wooden cabinets.

* تمّ وضع خطّة إستمرارية العمل لنظام T24 ليتمكّن بنك بيبلوس لبنان من القيام بمهام بنك بيبلوس سورية فيما يتعلّق بالعمليات الحسّاسة والضرورية في فترة إنقطاع شبكة الإتصالات في سورية.
* منع موظّفي الحوالات من تنفيذ عمليات على حسابات الزبائن وحساباتهم الخاصّة.
* فصل المهام بين الموافقات على السويفت، نظام T24 وRTGS.
* شيكات المقاصة الواردة ممكننة.
* تمّ إعتماد سجل خاص يتعلّق بالردود على إستفسارات المصارف الأخرى بالنسبة للحوالات المعدّلة والمرتجعة.
* إجراءات العمل الخاصة ببرنامج التواقيع تمّ تحديثها.
* أصبح من الممكن حاليا تسجيل كتب تعهّدات التصدير على النظام المصرفي T24.
* يتمّ الحصول على موافقة قسم الإلتزام عن طريق البريد الالكتروني قبل تنفيذ الحوالات المحلية الداخلية والخارجي.
* تحديث إجراءات العمل الخاصة بالاعتمادات المستندية.

التقييم ونقاط الضعف

مقبول

الإعتمادات الواردة والصادرة

* عدد من الكفالات المحلية الصادرة (٣٥ كفالة صادرة منتهية الصلاحية بمجموع ١٠٥ مليون ليرة سورية بتاريخ ١٤ شباط ٢٠٢٠ وذلك بحسب القائمة المعدة من قبل قسم الاعتمادات المستندية) ما زالت مسجّلة على النظام المصرفي على أنّها كفالات قائمة بالرغم من أنّها منتهية الصلاحية. بحسب إدارة بنك بيبلوس سورية هذه الكفالات ستبقى مسجّلة على القيود لحين ورود كتاب أصل الكفالة من المستفيد.

الحوالات وأوامر الدفع

* غياب التقابل بين نظام المقاصة والتسوية الفورية وT24.
* غياب نظام الفلترة على نظام التسوية الفورية RTGS.
* إجراءات العمل الخاصّة بقسم الحوالات وأوامر الدفع بحاجة للتحديث لتتضمن آلية عمل نظام التسوية الفورية (RTGS) والقوانين الجديدة.
* تم تحديد عدد من نقاط الضعف على مستوى النظام المصرفي وكانت بشكل رئيسي كالتالي:
  - إمكانية تعديل تاريخ اجراء عملية التحويل على مستوى وحدة الحوالات وأوامر الدفع مما يؤدي الى كشف الحسابات الوسيطة لتصبح ذات رصيد سالب.
  - عدم وجود سقوف على النظام المصرفي T24 لدى وحدة الحوالات وأوامر الدفع عند إجراءات الحوالات الخارجية عبر المقاصة وبواسطة نظام التسوية الفورية (RTGS).
* حوالات واردة عبر المقاصة وتحمل تواقيع مفوضين لمصارف أخرى محفوظة في حزائن خشبية غير مضادة للحريق.

HUMAN RESOURCES

CONTROLS

* An Attendance Management System.
* A payroll system.
* A handbook for BBS employees.
* Internal rules and regulations approved by the Ministry of Social Affairs and Labor.
* HR officer is preparing the payroll and the Head of Support is reviewing it before being processed.

ASSESSMENT AND WEAKNESSES

Acceptable

* Absence of HR procedures.
* Filling vacancies constitutes a major concern to ensure business continuity (25 resignations during 2019).
* Payroll system has no authorization process.
* No independent review over Auto ID (payroll Software) to ensure creation/amendment/deletion of user profiles were carried out based on approved requests.

ج- الموارد البشرية

الرقابة

* نظام إدارة دوام عمل الموظّفين.
* نظام رواتب ممكنن.
* كتيّب تعليمات لموظّفي بنك بيبلوس سورية.
* قواعد وأنظمة داخلية للمصرف موافق عليها من وزارة العمل والشؤون الإجتماعيّة.
* يتّم تحضير الرواتب من قبل موظف في الموارد البشرية، ويتّم مراجعتها من قبل مدير الدعم الوظيفي قبل تنفيذها.

التقييم ونقاط الضعف

مقبول

* غياب إجراءات عمل للموارد البشرية.
* ملء المراكز الشاغرة يشكّل مصدر إهتمام لجهّة ضمان حسن سير إستمرارية العمل (٢٥ استقالة خلال ٢٠١٩).
* لا يوجد نظام موافقة لبرنامج الرواتب.
* لا يوجد مراجعة مستقلّة على برنامج الرواتب للتأكّد من أنّ خلق/تعديل/حذف ملفات تعريف المستخدمين نفّذت بناءً على طلبات موافق عليها.

IT SUPPORT

CONTROLS

* Proper segregation of duties & in line with the GTS standards.
* Support from GTS with an adequate escalation procedure when needed.
* Support from BBL Information Security Department when needed.
* T24 password rules strengthened.
* T24 source codes objects are being copied to the live environment using the BUILD.CONTROL module.
* A Disaster Recovery site is ready and tested for T24 and MS Exchange.
* Online E-Banking service.
* A secure Zone (DMZ) in BBS Network to separate internal network from other outside network was created.

ASSESSMENT AND WEAKNESSES

Acceptable

* Bugs covered in T24 are being followed-up with GTS.
* Absence of a credit card management system; however, access to CSC intranet is granted to manage credit card status and limits.
* Interface between the SigCap (Customers' signature) and T24 is not in place.
* Interface between the RTGS and T24 is not in place.

د- تكنولوجيا المعلومات

الرقابة

* مبدأ فصل المهام قائم بشكل مناسب ومتناسق مع معايير التكنولوجيا المصرفية للمجموعة.
* دعم من قبل وحدة التكنولوجيا المصرفية للمجموعة مع إجراءات الإحالة المناسبة عند الحاجة.
* دعم من قبل قسم أمن المعلومات في بنك بيبلوس لبنان عند الحاجة.
* تمّت تقوية قواعد تعريف كلمات السرّ على نظام T24.
* تمّ نسخ عناصر رموز المصدر لـ T24 الى البيئة الحيّة وذلك باستخدام BUILD.CONTROL.
* موقع تجّنب الكوارث جاهز كما تمّ فحص عمله لنظامي T24 و MS Exchange.
* خدمة مصرفية إلكترونية مباشرة.
* تم انشاء منطقة آمنة (DMZ) على شبكة المصرف لفصل الشبكة الداخلية عن الشبكات الخارجية الأخرى.

التقييم ونقاط الضعف

مقبول

* تغطية الثغرات في نظام T24 متابعة من قبل وحدة التكنولوجيا المصرفية.
* عدم وجود نظام خاص لإدارة بطاقات الإئتمان (Cards Credit). بالمقابل، وعلى الرغم من ذلك، تمّ منح المصرف الحقّ بالدخول إلى النظام الخاص بشركة CSC ليمكّنه من إدارة وضعية البطاقات وسقوفها.
* غياب التقابل بين النظام المصرفي وبرنامج نماذج التوقيع.
* غياب التقابل بين النظام المصرفي ونظام التسوية الفوري.

* Lack of audit trail on Sigcap database (Customers' signature).
* Signatures' cancellation date on SigCap cannot be inputted on the same day of the request. An alternative solution is applied, impacting the SigCap application logs.

* غياب آلية تعقب ومراجعة لقاعدة البيانات (برنامج نماذج التوقيع).

* لا يمكن ادخال تاريخ الغاء التوقيع على برنامج نماذج التوقيع في نفس تاريخ الطلب. حيث أن الحل البديل المطبق يؤثر على سجل الولوج للتطبيق.

COMPLIANCE — ه- وحدة التحقق

CONTROLS — الرقابة

* New CIFs are filtered using world check web based application.
* Clients' accounts transactions are monitored.
* Transfers are filtered using Fircosoft system (except those done via clearing and RTGS).
* Total deposit or withdrawal amounts per CIF, greater than SYP 5,000,000 or C/V during the same working day are subject to override messages.
* Existence of transaction monitoring officer in regions (except for Aleppo, Hama & Homs).
* The Compliance procedure was validated including the regulatory compliance activities (except CBoS internal controller activities).
* Implementation of a system to communicate rules and regulations to business owners.
* A regulatory report tracking process was implemented and a reminder was set to remind users to send regulator's reports at their due dates.
* New clients are being subject to Compliance clearance before opening the CIFs on T24.
* AML solution software is in place.
* CIFs flags are added/removed by Compliance (e.g. CUT, FIU, EDD) on T24 with authorization.
* Dedicated report showing the cumulative cash deposits and cash withdrawal exceeding SYP 1,000,000 per client and per day is in place.

* تتمّ فلترة الحسابات الجديدة من خلال إستعمال تطبيق world check.
* تتمّ مراقبة حركة حسابات الزبائن.
* الحوالات مراقبة من خلال نظام Fircosoft (عدا المنفّذة عن طريق المقاصة ونظام التسوية الفورية).
* مجموع عمليات الإيداع أو السحب النقدي المنفّذة في نفس اليوم للعميل الواحد والتي تتجاوز قيمتها خمسة ملايين ليرة سورية أو ما يعادلها بالعملات الأجنبية تظهر رسالة تجاوز وتحتاج إلى موافقة إدارية.
* وجود مراقب للعمليات في الفرع في كلّ إقليمية (ما عدا حلب، حمص وحماه).
* تمّ تحديث إجراءات عمل وحدة الإلتزام لتتضمّن مهام ونشاط وظيفة الإمتثال القانوني (ما عدا أنشطة المدققين الداخليين لمصرف سورية المركزي).
* تطبيق نظام خاص لإيصال وإبلاغ القوانين والأنظمة للأشخاص المعنيين.
* تطبيق نظام خاص لتتبع التقارير المرسلة إلى الهيئات الرقابية الذي يرسل تذكير للمعنين لإرسال التقارير بالتواريخ المقررة.
* يتمّ الحصول على موافقة قسم الإلتزام قبل فتح ملف تعريفي للعملاء الجدد على النظام المصرفي T24.
* وجود نظام معلوماتي خاص لمكافحة غسل الأموال وتمويل الإرهاب.
* تضاف/تزال الإشارات (مثال CUT, FIU, EDD) على الملفات التعريفة في نظام T24 بموافقة قسم الإلتزام.
* تقرير خاص يظهر السحوبات والإيداعات النقدية المتكررة والمجمّعة عندما تتجاوز مبلغ المليون ليرة سورية لعميل واحد في يوم عمل واحد.

ASSESSMENT AND WEAKNESSES — التقييم ونقاط الضعف

Acceptable — ***مقبول***

* Not all SWIFT messages are filtered by Fircosoft.
* Absence of a dedicated procedure related to "forced account closure for Recalcitrant US person client".
* CIFs changes/amendments performed by the Compliance were not reflected in any report.
* The posting restriction (46) is in place but does not prevent blocked account from CMLC of being subject to statement of account charges (SOA).

* لا يتم فلترة جميع رسائل السويفت عبر برنامج Fircosoft.
* غياب الإجراءات الخاصّة بإغلاق الحساب العائد للعميل الأمريكي المخالف.
* التعديلات والتغيرات التي يقوم بها الإمتثال على الملف التعريفي لا تظهر بأي تقرير.
* تأشيرة منع تحريك على الحساب (٤٦) دخلت حيّز التنفيذ ولكنّ ذلك لا يمنع من تسجيل مصاريف كشف الحساب على الحسابات الخاضعة لتجميد هيئة مكافحة غسل الأموال وتمويل الإرهاب CMLC.

* Banking relation of a CIF can be changed by the branch from “NO” to “YES” on T24 without taking authorization from Compliance.

* يمكن تغيير العلاقة المصرفية مع العميل من "لا" إلى "نعم" على النظام T24 من قبل الفرع دون الحصول على موافقة من قسم الإلتزام.

LOANS RECOVERY UNIT (LRU) — و- وحدة تحصيل الديون

CONTROLS — الرقابة

* A Retail LRU committee was formed to decide about LRU work out plans, legal actions, rescheduling, waiving or reducing penalty interests/commissions & legal fees as well as NPL write-offs.
* Approved Collection & Follow-up procedure.
* An annual performance budget was set for the Loan Recovery unit.

* تمّ تشكيل لجنة خاصّة لاتخاذ القرارات حول خطط عمل مديرية تحصيل الديون المتعثرة لجهة الإجراءات القانونية، إعادة الجدولة، حذف أو تخفيض الغرامات على الفوائد، العمولات والرسوم القانونية بالإضافة لحذف القروض غير المنتجة.
* وجود إجراءات عمل موافق عليها خاصّة بعمليات متابعة وتحصيل الديون المتعثرة.
* تمّ إعداد أهداف سنوية لأداء وحدة تحصيل الديون المتعثرة.

ASSESSMENT AND WEAKNESSES — التقييم ونقاط الضعف

Acceptable — ***مقبول***

* Manual interventions in the absence of dedicated software.
* Defaulted commercial clients are not handled by LRU. In addition, they are not flagged on T24 as LRU nor subject to override messages.
* LRU Committee did not meet in 2019.

* إعتماد التعديلات اليدوية في ظلّ غياب نظام إلكتروني.
* الديون التجارية المتعثّرة غير متابعة من قبل وحدة تحصيل الديون. بالإضافة إلى ذلك، لا يتمّ وضع إشارة عليها كديون متعثّرة على نظام T24 وبالتالي هي غير خاضعة للضوابط على النظام بغية متابعتها وخضوعها للموافقة الإدارية على النظام.
* لجنة تحصيل الديون المتعثّرة لم تجتمع خلال العام ٢٠١٩.

RISK MANAGEMENT — إدارة المخاطر

CONTROLS — الرقابة

* There is a Risk Management Committee and related Charter is approved.
* Approved Market and Operational Risk policies.
* Credit risk policy including rules for stress tests was approved (but not updated to be in compliance with IFRS 9).
* The Risk Management Unit is supported by Group Risk when needed.

* يوجد لجنة لإدارة المخاطر والميثاق الخاصّ بها موافق عليه.
* إنّ السياسات المتعلّقة بمخاطر السوق والمخاطر التشغيلية موافق عليها.
* إجراءات عمل مخاطر الإئتمان متضمنة قواعد إختبارات الجهد موافق عليها (إلا أنها غير محدثة لتكون متوافقة مع معيار التقارير المالية الدولي رقم ٩).
* انّ وحدة إدارة المخاطر مدعومة من وحدة المخاطر للمجموعة عند الحاجة.

ASSESSMENT AND WEAKNESSES — *التقييم ونقاط الضعف*

Acceptable — ***مقبول***

* The CAR preparation is manual (using excel sheets).
* System developments to generate all required reports for Credit, Market & Operational risks were not available.
* Absence of a manual for CAR calculation.

* احتساب معدّل كفاية رأس المال (CAR) يتمّ بشكل يدوي (باستخدام excel).
* تطويرات النظام المتعلّق بإصدار التقارير الخاصّة بالمخاطر الإئتمانية والعمليات والأسواق غير متوفّرة.
* عدم وجود دليل لاحتساب معدّل كفاية رأس المال (CAR).

CREDIT ADMINISTRATION UNIT — وحدة إدارة التسليفات

CONTROLS — الرقابة

* Segregation of duties and dual control for limits.
* Original collaterals are scanned and saved in T24.

* فصل المهام والرقابة المزدوجة على إدخال سقوف التسهيلات.
* يتمّ إجراء مسح ضوئي للضمانات الأصلية القائمة وحفظها في النظام المصرفي T24.

* The original documents are kept inside three different vaults.
* Documented rules for CDR are prepared by the Head of Unit.
* Vault's keys are held under dual custody and a specific register is used in this regards.

* يتمّ حفظ الأوراق الأصلية داخل ثلاث غرف محصّنة مختلفة.
* قواعد موثّقة لإعداد تقرير مركزية المخاطر معدّة من قبل مدير الوحدة.
* مفاتيح الغرفة المحصّنة موضوعة تحت الحيازة المزدوجة حيث يستخدم سجل خاص بخصوصها.

ASSESSMENT AND WEAKNESSES

Acceptable

* CAD procedure needs to be updated.

التقييم ونقاط الضعف

مقبول

* غياب إجراءات محدثة لوحدة إدارة التسليفات.

LEGAL SUPPORT UNIT — وحدة الشؤون القانونية

CONTROLS — **الرقابة**

* Legal advisors have legal background, and when needed, are receiving support from external lawyers.
* Dedicated register listing granted proxies to lawyers.
* Dedicated register to record details of the legal requests and their processing status was implemented.
* List of lawsuits raised against retail and commercial defaulted clients was established.

* المستشارون القانونيون لديهم خلفية قانونية ويحصلون على دعم محامين خارجيين عند الحاجة.
* سجل خاص بالوكالات المعطاة إلى المحامين.
* تمّ إستحداث سجل خاص لتسجيل تفاصيل طلبات الإستشارات القانونية ومعالجتها.
* تمّ إستحداث لائحة بالدعاوى المقامة بوجه العملاء المتعثّرين التجاريين وقروض التجزئة.

ASSESSMENT AND WEAKNESSES

Acceptable

* Lack of Legal Support procedure defining tasks of all involved parties.
* Several lawsuits raised against defaulted retail and commercial clients were still pending with no clear action plan.
* Absence of dedicated legal committee.
* Absence of dedicated monitoring tool to prevent files from being dropped by the court during the six month of legal pursuit which is the period defined by the court to keep a file active.
* Absence of acknowledgment of receipt from the courtyard listing the original documents submitted to proceed with the legal action.
* All Legal Support Unit staff members did not attend trainings about legal matters and banking operations.

التقييم ونقاط الضعف

مقبول

* غياب دليل إجراءات العمل خاص بالقسم القانوني لتحديد مهام كلّ الأطراف ذات الصلة.
* وجود عدّة دعاوى قانونية ضدّ زبائن تسهيلات تجزئة وتجارية متعثّرين لا تزال معلّقة دون وجود خطّة عمل واضحة بشأنها.
* عدم وجود لجنة قانونية خاصّة.
* غياب أدوات رقابية لمنع شطب الملفات من قبل المحكمة خلال ٦ أشهر من آخر إجراء قانوني وهي الفترة المحدّدة لبقاء الدعوى فعالة.
* غياب إشعار إستلام من قبل المحكمة للمستندات الأصلية المسلّمة للمباشرة بالدعوى القضائية.
* لم يخضع جميع أعضاء القسم القانوني لتدريب خاص بالشؤون القانونية والعمليات المصرفية.

CREDIT INFORMATION UNIT — وحدة الإستعلام الإئتماني

CONTROLS — **الرقابة**

* The list of issued checkbooks is printed and dually signed after reconciling it to the list of blacklisted names.
* Different sources of data are checked when enquiring about clients, and data is registered on excel file.

* تتمّ طباعة قائمة بدفاتر الشيكات المصدّرة، ويتمّ توقيعها بشكل مزدوج بعد مطابقتها مع قائمة الزبائن المحظور منحهم دفاتر شيكات.
* يتّم التحقّق من مصادر مختلفة عند الإستعلام عن الزبائن، ويتمّ تسجيل البيانات على ملف Excel.

* Supporting documents are requested upon each approval of checkbook issuance (e.g. commercial registers and proof of work).
* BBS clients listed on CBoS list of restricted clients to deal with checks are flagged as such on T24.

* وجوب طلب المستندات التي توثّق المعلومات المقرّرة عند أيّة موافقة على إصدار دفتر شيكات (مثلاً سجلات تجارية وإثبات عمل).
* تم وضع إشارة على النظام المصرفي T24 لعملاء البنك الذين وردت أسماؤهم في قوائم العملاء المقيد تعاملهم بالشيكات.

ASSESSMENT AND WEAKNESSES

التقييم ونقاط الضعف

Acceptable

* Reconciliation by the Credit Information Unit staff of checkbook requests with the CBoS blacklisted names is manual.
* The information system at Credit Information Unit is not yet installed.

مقبول

* تتمّ مطابقة طلبات إصدار دفاتر شيكات مع الأسماء على اللائحة السوداء من مصرف سورية المركزي بشكل يدوي من قبل موظّفي وحدة الإستعلام الإئتماني.

نظام المعلومات في وحدة الإستعلامات التجارية غير متوفّر بعد.

APPENDICES

Appendix I - Index of all Audit Reports and Memos in 2019
Appendix II - Index of all Outstanding Issues in 2019
Appendix III - Index of Cleared/Downgraded Issues during Q4 2019
Appendix IV - Index of all Outstanding Issues in branches in 2019
Appendix V - Index of all Archived Issues in 2019

Appendix I - Index of all Audit Reports and Memos in 2019

	Reference	Description	Issuance Date
		Reports	
1	002-BBS-BA-001-19	Abbasiyeen Branch	9-May-19
2	008-BBS-BA-002-19	Aleppo Branch	27-May-19
3	010-BBS-BA-003-19	Mazzeh Branch	25-May-19
4	011-BBS-BA-004-19	Bab Sharki Office	9-May-19
5	028-BBS-BA-005-19	Hama Branch	23-Jul-19
6	031-BBS-IN-006-19	Violation of the Code of Conduct	22-May-19
7	033-BBS-OA-007-19	Branch Coordination Unit (PY)	26-Jun-19
8	034-BBS-AC-008-19	Audit Committee Q1	22-May-19
9	047-BBS-BA-009-19	Tartous Branch	7-Aug-19
10	051-BBS-IT-010-19	Syrian Gross Settlement System (SYGS)	29-Jul-19
11	052-BBS-BA-011-19	Abou Remmaneh Branch	5-Dec-19
12	054-BBS-AC-012-19	Audit Committee Q2	11-Jul-19
13	060-BBS-OA-013-19	Bills, Clearing & Invoicing	In Progress
14	071-BBS-BA-014-19	Homs Branch	27-Sep-19
15	075-BBS-OA-015-19	Transfers & Payments (PY)	4-Dec-19
16	080-BBS-BA-016-19	Lattakia Branch	9-Jan-20
17	088-BBS-IN-017-19	Acceptance of Gifts from Client	7-Oct-19
18	090-BBS-AC-018-19	Audit Committee Q3	22-May-19
19	093-BBS-IN-019-19	Fake Signature on Confirmation of Balances	13-Nov-19
20	101-BBS-BA-020-19	Sweeda Branch	24-Jan-20
21	110-BBS-AC-021-19	Audit Plan	21-Nov-19
22	118-BBS-OA-023-19	Risk Control Unit	In Progress
23	123-BBS-CR-024-19	Commercial Portfolio	In Progress
24	134-BBS-AC-025-19	Activity Report	26-Feb-20
25	135-BBS-AC-026-19	Audit Committee Q4	26-Feb-20
		Memos	
1	009-MEM-BBS-IT-001-19	T24 Enquiry Log	30-Jan-19
2	033-MEM-BBS-IT-002-19	E.L.: Internal Audit Review - Syrian Gross Settlement System (SYGS)	16-Mar-19
3	057-MEM-BBS-OA-003-19	P.R.: PSY 35C FATCA Reporting Procedure	22-May-19
4	069-MEM-BBS-OA-004-19	E.L.: Internal Audit Review - Bills/Clearing/Invoicing/Sigcap/Post Financing	1-Jul-19
5	073-MEM-BBS-OA-005-19	P.R.: PSY 13 Treasury Procedure	15-Jul-19
6	074-MEM-BBS-IT-006-19	P.R.: PS 17 ATM Management Procedure	15-Jul-19
7	127-MEM-BBS-OA-009-19	E.L.: Internal Audit Review - Audit Over Risk Unit	5-Dec-19
8	128-MEM-BBS-CR-010-19	E.L.: Internal Audit Review - Commercial Loan Portfolio at	9-Dec-19
9	137-MEM-BBS-FE-011-19	AML Observations 2019	20-Feb-20

Appendix II - Index of all Outstanding Issues in 2019

N.	Audit Dept.	Aging	Risk	New Due Date	Situation as at December 31, 2019	Reply as at December 31, 2019	Issue Category
1	ITA	0-6	H		***Interface between SyGS and T24 (BBS - SYGS-2019):*** Currently, T24 and SyGS are not interfaced, whereby transactions committed on T24 are required to be manually inputted again on the related SyGS web application and vice versa. Such duplication of work is inefficient and may lead to accidental and/or intentional errors. On the other hand, the "Ordering Customer" and "Beneficiary Customer" names are inputted in Arabic language on the SyGS system; however, on T24, these fields are inputted in English. Consequently, this will render the reconciliation between the two systems more difficult and increase the likelihood of having returned transactions due to wrong beneficiary name. In addition, the SyGS inward and outward transfers are being executed on T24 using the same versions used for non-SyGS transfers. Thus, Swift messages are being created for SyGS outward transfers and are being manually halted by users. Based on the CBoS requirement, the interface between SyGS and T24 was requested from Group Technology Services (GTS) back in August 2018; but till date the project was not finalized. According to GTS, the solution architecture, infrastructure design and requirements gathering were completed. However, due to GTS shortage of internal resources, GTS were	***Karam Bechara (General Manager):*** BOD decided to change the core banking system. The interface between SYGS and T24 will cost us around USD 33,000. BBS management decided to keep it pending until the implementation of the new core banking system.	Regular

N.	Audit Dept.	Aging	Risk	New Due Date	Situation as at December 31, 2019	Reply as at December 31, 2019	Issue Category
					in the process of outsourcing the development phase. Currently, the project is suspended after the decision taken by BBS management and International Committee to change the BBS Core Banking System.		
2	OA	0-6	H	3/31/2020	***Irregularities at the System Level (075-BBS-OA-015-19):*** Weaknesses at core banking system level (T24) were noted where 2 outgoing transfers were granted the same OPE references in 2 instances, the posting date was subject to modification (led in 4 cases to overdrawing the suspense account) and no authorization layers were set for the processing of outgoing transfers via clearing and RTGS.	***Karam Bechara (General Manager):*** Interface between SYGS and T24: BOD decided to change the core banking system. The interface between SYGS and T24 will cost us around USD 33,000. BBS management decided to keep it pending until the implementation of the new core banking system. Issue already mentioned in SYGS audit report (Issue mentioned in 2 reports).1- In two instances, two outgoing transfers were granted the same OPE references: Request has been sent from the branch coordination dated 31 October 2017.The BT help desk is not able to discover the reason of duplicate unless the concerned branch advise him same date of happening. All the replies received from BT are: reverse manually the FT and re execute it again. On the other hand, please refer to T.P.U. instruction dated 22 February 2018, copying internal audit Syria through which we informed all BBS branch how to check and to ensure that the total actual balance is equal to the remaining amount.2- The posting date is subject to modification at TPU level. It is worth mentioning that in four cases, the posting date was amended resulting in a negative balance. All outward payment in hold status need to	Regular

N.	Audit Dept.	Aging	Risk	New Due Date	Situation as at December 31, 2019	Reply as at December 31, 2019	Issue Category
						change the processing date - by the inputter- to be same day in order to get the authorization. The negative balance has been made on suspense balance which is a transitory account and has been rectified automatically as it is a forward value.3- No authorization limits were set at T&P level for the processing of outgoing transfers via clearing and RTGS. Concerning the clearing session: all payments bears two authorized signatures "A and B or A or M": and no one breached the booklet of signatories conditions. Concerning the SYGS: Limit not set by CBOS. Limit same for all Banks.	
3	ITA	>24	M	12/31/2019	***Conventional user name & password is being used by all users to login to BBS (170-BBS-IT-022-14):*** Since creation of Globus/T24 BBS environment, one shared UNIX account is being used by all BBS users, before they type their T24 user name and password. Consequently, with the use of this UNIX shared credentials, password aging policy was not imposed at Unix level. Moreover, access using the file transfer protocol (FTP) is not properly restricted. We recommend either creating one UNIX account for each user or find a turnaround solution (such as ex: bypassing the UNIX login) that should be tested and implemented. A delivery date for the selected solution is requested. Accordingly, the shared user password should	***Raffoul Raffoul (AGM - Head of Group Organization Dvpt, Info Systems & Operational Support):*** FTP is already restricted to authorised users. we faced some issues when we tried to implement the "bypassing 1st login" solution on production. We started lately the pilot phase with BT staff.	Regular

N.	Audit Dept.	Aging	Risk	New Due Date	Situation as at December 31, 2019	Reply as at December 31, 2019	Issue Category
					be changed and the FTP should be properly restricted to authorized users.		
4	OA	>24	M		***BBS Archives (030-MEM-BBS-OA-002-14):*** Discrepancies were noted regarding physical & environmental security controls over BBS archives as follows: Hosh Blass: the access to archives became very difficult and not secured. DVRs recordings are not accessible, due to electricity failures and absence of internet. Abou Remmaneh (Mezzanine): The mezzanine lacks the physical and environmental security controls (no fire proof cabinets or partitions, no fire alarms or extinguishers, absence of water detector). No access cards are available for Abou Remmaneh and Hosh Blass archives' areas. No centralized database and documented procedure. An electronic archiving solution along with a clear process should be implemented. ***Audit Comments***: Hosh Blass access became secure and generators were installed to solve the electricity failure that was affecting the DVR recording access. Hence, related part will be considered cleared.	***Karam Bechara (General Manager):*** Hosh Blass warehouse: This issue is divided into 2 sections: 1) Electricity section: we have installed 9 KVA generator which will be used as a main generator, and another 5 KVA generator which will be used as a backup. This work is done and the two generators are in service. Please to reassess. 2) Connection section: This issue was totally solved by installing new Switch – Routers – Modem and all IT equipment after fixing the telecom service center by finding an expert worker who is in charge of connecting the branch to the area center. In addition, we installed all security systems (CCTV – Intrusion – Fire alarm) in the warehouse and now we can monitoring them via the control room in the head office. Please to reassess as well. Concerning the FM 200 (Fire suppression system), it is already installed we are still finishing some additional works in order to put in service and go live. Expected to be finished by the end of February. The Mezzanine: We have removed all the equipment that was detected as an Audit issue. As for the new contract with the company related to the security systems, we have finished our cabling work and we expect to finish all the work within next month and the mezzanine will be	Regular

N.	Audit Dept.	Aging	Risk	New Due Date	Situation as at December 31, 2019	Reply as at December 31, 2019	Issue Category
						equipped with all the needed security system (fire alarm sensors - water detectors, etc.)	
5	OA	12-24	M		***Policies and procedures (071-BBS-OA-012-18):*** No validated procedure governing the Legal Support processes and identifying the roles and responsibilities of all involved parties.	***Karam Bechara (General Manager):*** تم الانتهاء من وضع النقاط كافة الخاصة بعمل الدائرة ونحن بانتظار تحديد موعد من قبل وحدة السياسات والاجراءات في لبنان لتزويدهم بآلية عمل الدائرة حيث كان من المفترض أن نجتمع بهم في منتصف شهر حزيران وقد تم تأجيل الاجتماع بناء على طلبهم لوقت لاحق سيحدد لاحقاً ومازلنا بانتظار تحديد الموعد بالرغم من مطالبتنا بهذا الخصوص عن طريق قسم الموارد البشرية	Procedure
6	OA	12-24	M		***Legal Committee (071-BBS-OA-012-18):*** BBS does not have currently a dedicated Legal Committee to supervise legal actions handled by LSU (e.g. lawsuits' progress status, selection of external lawyers, review of legal fees and advances trend analysis etc.).	***Karam Bechara (General Manager):*** يتم بشكل يومي التنسيق مع قسم التحصيل فنما يتعلق بالملفات التنفيذية كافة والمراحل التي وصلت إليها بالإضافة إلى تقارير دورية تقدم للإدارة فيما يتعلق بالملفات التجارية ومتابعة كل ملف والتصور القانوني الامثل بالنسبة للإجراءات المتبعة، مع الإشارة إلى أن عمل الدائرة القانونية متابع من قبل الإدارة والأقسام المعنية بهذا الخصوص، كما نرجو توضيح ما المقصود ب Legal Committe	Regular
7	OA	12-24	M		***Legal Processes (071-BBS-OA-012-18):*** A lack of communication between LSU and several stakeholders that hindered the coordination with Loan Recovery Unit (LRU) to agree on the actions to be taken towards the defaulting retail files, the escalation to LRU Committee for decisions to be taken regarding pending defaulting retail files and the relations with external lawyers. Hence, we noted 2 cases of defaulted retail loans that were not coordinated by Head of Legal/internal lawyer with LRU or escalated to LRU Committee for complete information and final decision (e.g. 11 cases of defaulted retail	***Karam Bechara (General Manager):***" يتم الطلب بشكل شبه يومي استرداد كفالات الحجز الاحتياطي المسلمة لمكتب الدكتور متري مع وعود بإعادتها أصولا ومازلنا بانتظار ذلك. تم وضع بعض التعديلات على مجموعة من وثائق المصرف بالتعاون مع مكتب الدكتور متري وتم ارسالها إلى القسم القانوني في بنك بيبلوس-لبنان لأخذ الموافقة النهائية عليها وما زلنا بانتظار موافقتهم بالرغم من مطالبتهم المتكررة بتزويدنا بها. كما ذكرنا يتم التنسيق بشكل يومي مع قسم التحصيل بالنسبة للملفات كافة وضع التصور القانوني الأمثل. فيما يتعلق بملفات السيارات المباعة في المزاد والتي لا يوجد لدينا وثائق أو ايصالات نتيجة تلف وحرق الملفات جميعها نعلمكم ان هناك ثلاثة ملفات متلفة ومحروقة ولا يوجد أي مستند أو وثيقة لدينا أو لدى المحاكم وقد تم وضع الإدارة بصورتها	Regular

N.	Audit Dept.	Aging	Risk	New Due Date	Situation as at December 31, 2019	Reply as at December 31, 2019	Issue Category
					loans where LRU and LSU had contradictory opinions about the actions to be taken, and related files were not submitted for final decision to LRU Committee, 1 defaulted retail file was subject to 2 different legal opinions provided by two internal lawyers within one year, misleading and delaying LRU in their process of recovery). Also, we noted a disorganization within the LSU that led to an improper follow-up and weak control on some legal cases, resulting in uncollected due amounts for cars sold via auctions related to auto loans, pending files at LSU since more than 6 years, and they were not submitted to the dedicated committee in charge for final decision. And lateness in the recovery of total/partial due loan amounts in 5 cases. Additionally, the LSU did not have a list of external lawyers currently dealing with the Bank. Moreover, the LSU did not validate all BBS forms.	لاتخاذ القرار المناسب بشأنه ، تم توجيهنا من الإدارة باتخاذ الإجراءات القانونية الممكنة وبالفعل قمنا بتعميم منع السفر على كل من العميلين فراس حلاق وعبد الله هنداوي وبالنسبة للعميل ديوب ديوب يتم دراسة ملفه من الناحية القانونية وامكانية الحصول على قرار منع سفر بحقه كون جميع الوثائق الأصلية متلفة"	
8	OA	12-24	M		***CIFs Amendments (139-BBS-OA-019-17):*** The addition/removal of any compliance posting restriction (e.g. post no entries - Compliance Unit; 44). on T24 can be performed solely by a Compliance inputter without requiring any system authorization (Issue partially rectified). In addition, the banking relation of a CIF can be changed by the branches from “No” to “Yes” without requiring BBS Compliance authorization in T24.	***Karam Bechara (General Manager):*** Done please remove the issue, and regarding the compliance flag done, and for the banking relation CRF is still pending in the BT, and for the 44 is still pending in the BT.	System Enhancement

N.	Audit Dept.	Aging	Risk	New Due Date	Situation as at December 31, 2019	Reply as at December 31, 2019	Issue Category
9	OA	12-24	M		***Update of Internal Watch List and Fircosoft (139-BBS-OA-019-17):*** The internal watch list used by Compliance to screen the new CIFs and the local transfers against the local sanctions' lists did not include all the names reported by some Syrian institutions through the CMLC. Also, Compliance Unit is using 2 watch lists, one in Arabic and another one in English; however, these lists were not subject to any reconciliation noting that a difference in the number of names between the 2 lists was noted. in addition, 6 out of 12 backlisted names communicated by the CMLC were uploaded on Fircosoft with delay reaching 303 days in one case. ***Audit Comments***: Tests performed over this matter showed recurrence of this observation.	***Karam Bechara (General Manager):*** Solved this issue by employ 2 data entry and we handle all the names which reported through the CMLC Done we start to send it once amended knowing that the process in BBL to update the FOFA list is on weekly basis.	Regular
10	OA	12-24	M		***AML Risk Classification of Clients (139-BBS-OA-019-17):*** 30 CIFs with sector "Non Profit Institutions" were not flagged with EDD on T24 as required by procedure and 9 clients with public functions were not flagged as "PEP" (Politically Exposed Person).	***Karam Bechara (General Manager):*** Since SIRON is live we look at the final risk score not to the EDD flag which we start to use it same as BBL in case we receive a request from the CMLC to mark some clients accounts as a traceable.§ the CRF was live on Globus and the mapping between Globus and SIRON done.	System Implementation
11	CRA	6-12	M		***Documentation (BBS - 2018):*** 1. Guarantees not timely obtained in the case of Altoun Lil Nakel; rectified in the cases of Hadaya Motors; MTN; Sharikat Tokatli; Technopack ; Rachid Rahal; and highlighted to	***Karam Bechara (General Manager):*** 1-MTN ; Sharikat Tokatli; Technopack ; Rachid Rahal; Hadaya Motors: rectified. -Altoun Lil Nakel: we were able successfully to obtain a mortgage-Madar Coil Coating: CCC is already	Regular

N.	Audit Dept.	Aging	Risk	New Due Date	Situation as at December 31, 2019	Reply as at December 31, 2019	Issue Category
					CCC in the case of Madar Coil Coating.2. In 4 cases, offer letters were missing the signature of the guarantors (Kuzbari; Maatouk; Modern Glass; and rectified in the case of M-Daoud). In an additional case (Altoun Lil Nakel), the O/L letter included a discrepancy in one of the required guarantees.3. In 4 cases, PG/CG reminders were outdated (Kuzbari, Maatouk; Syral Aluminum; Abou Khater wa Akhras)4. In 2 cases, CCC committee requirements were not obtained: distribution agreement and market study (Maatouk Drugstores); registration of the borrowing right as recommended by Legal (Daoud Trading).5. In 5 cases, appraisals on plots subject to mortgage were outdated (Maatouk; M-Naser; Sharekat Mohamed; Nasr Ali; Roubana Lil Alban and rectified in another case).6. In addition, outdated documentation (P/G reminders and appraisals) raised in previous audit was not yet rectified in 3 cases (Alsharika Alhaditha; Raslan & Tayyara; Sharikat Knama). ***Audit Comments***: in the case of Altoun lil Nakel, mortgage was obtained on plot#3312/5 for SYP 504M; however, the issue remains O/S for the PG of Sakher Altoun for SYP 504M which was not yet obtained.	notified about those missing.2. Kuzbari: The guarantors are located abroad and their signature cannot be obtained for the time being. -Maatouk: Those guarantors have less involvement in Maatouk Drugstore Company. Upon next file renewal we will obtain their signature over the new facility letter. -Modern Co. for Glass: we obtained the signature of the major partners on the facility letter pending Attieh family to sign over it too, which is expected to be finalzied before end of July 2019.-Altoun: We were not able to mortgage the shop since there was a mortgage notice placed on the trucks. Therefore, we requested a waiver of this security in the new annual CA sent to CCC at BBL on 17.1.2019.-Michel Daoud: Rectified.3. Kuzbari Group: Given that the guarantors live abroad in different locations, there is a certain extent of difficulty to have them all signing over any document.-Abou Khater Wa Akhras: PG reminder of one of the missing reminders of Aref Akhras was signed on 4.3.2019.We will try to obtain PG reminders for the rest.4. Maatouk: Client didn't accept to provide us with such critical document. We will work on best effort to obtain it. -Daoud Trading: We are following up with client to properly reflect the borrowing rights on the commercial register. 5. Maatouk Drugstores: We will try to obtain an updated appraisal report during 2019. -Syral Aluminum: Rectified. -Nasr Ali; Roubana	

N.	Audit Dept.	Aging	Risk	New Due Date	Situation as at December 31, 2019	Reply as at December 31, 2019	Issue Category
						Lilalban; Mohamad Naser; Sharekat Mohamaed: NPL & Legal clients. Usually the court does not take our appraisal report into consideration, where a new appraisal report is conducted by the court expert and used in the final decision. In all cases, updated appraisal reports will be conducted very soon. 6. Alsharika Alhaditha; Reslan & Tayyara: noted.- Sharikat Knama: client is classified long time ago as bad debt class 6. Bearing in mind that an exit relationship scenario is under negotiation with client. As previously mentioned, plot is located in Deir Zor which is not accessible to obtain updated appraisal report. Note that all pendings of Maatouk have been rectified.	
12	ITA	6-12	M		***Windows, SQL Server and Audit Trail Weaknesses (149-BBS-IT-024-18):*** BBS SigCap application version (5.8.10/2.28) is running on an outdated Windows operating system (2003), and SQL server (2005 Standard Edition), which are not supported by Microsoft; therefore automatic fixes, updates or online technical assistance and security updates are no longer provided in order to protect the server from harmful viruses and other malicious software. In addition, the audit trail on the SQL server database is currently not enabled to be able to trace any amendment made on the database level. Such exception would might lead to security weaknesses and will expose the environment	***Raffoul Raffoul (AGM - Head of Group Organization Dvpt, Info Systems & Operational Support):*** ***Machhour Salem - Head of Application Support & Operations:*** The current platform is the only supported by the supplier. We should consider to upgrade the application in order to use the recommended OS and DB versions and then we can enable the auditing. ***Mr. Joseph Harran - Head of Systems & IT Support:*** We are ready to assist as soon as application owner is ready to proceed.	System Implementation

N.	Audit Dept.	Aging	Risk	New Due Date	Situation as at December 31, 2019	Reply as at December 31, 2019	Issue Category
					to harmful viruses and malicious software. We recommend the GTS Application, Systems and Database Units to coordinate and study the possibility of upgrading the Windows and SQL servers to an updated version supported by Microsoft and compatible with the SigCap application. In addition, GTS Application unit should ensure that the running SigCap application is still under support, else application upgrade should be considered. On the other hand, the audit trail on the SQL database level should be consequently enabled to log administrators' activities.		
13	ITA	6-12	M		***SigCap Application "Expiry date" (149-BBS-IT-024-18):*** We were informed during our fieldwork that the "expiry date" of any signature can't be inputed on the same day. As a turn around solution, SigCap/Capture users are requesting from BBS IT support to change the workstation date/time to a date/time -1 in order to be able to input the correct date. However, this will impact the application logs. We recommend GTS Application Unit in coordination with the provider to assess the possibility of solving this weakness. If this is not possible, the application Unit should consider upgrading the SigCap application to a newest version that can solve the application weakness.	***Raffoul Raffoul (AGM - Head of Group Organization Dvpt, Info Systems & Operational Support):*** This is a turn around solution that we are applying on the current release. It will be solved when we upgrade to the latest release.	Regular

N.	Audit Dept.	Aging	Risk	New Due Date	Situation as at December 31, 2019	Reply as at December 31, 2019	Issue Category
14	ITA	6-12	M		***SigCap Password Policy weaknesses (149-BBS-IT-024-18):*** 1- The SigCap application security policy doesn't allow to set "special character" and "alpha numeric" requirements. In addition, we noticed that SigCap application security policy doesn't force users to change their password on timely basis. Hence, SigCap users are able to input weak passwords that can be easily guessed without being changed. Furthermore, "unsuccessful login attempts" was not enabled to minimize the risk of unsuccessful password retries. On the other hand we also noticed that SigCap and Active Directory usernames are not standardized. We noticed that 18 users have difference in their user names. We recommend Information Security Department (ISD) to coordinate with SigCap business owner and assess the possibility of integrating BBS SigCap and Windows Active Directory to allow SigCap Retrieve/Capture users to be authenticated using the Windows credentials. Hence, Windows password policies will be applied to minimize the risk of password retries.	***Raffoul Raffoul (AGM - Head of Group Organization Dvpt, Info Systems & Operational Support):*** According to Johnny Eid the integration between subsidiaries' SigCap authentication with active directory requires efforts and dedication therefore Machhour has to set Application team's priorities and specify a delivery date for this issue.	System Enhancement
15	ITA	6-12	M	9/30/2020	***Interface Between SigCap and T24 (149-BBS-IT-024-18):*** We noticed that an interface between SigCap and T24 is not in place to automatically get and load the CIF details from T24 into SigCap database. Hence, input error might take place	***Karam Bechara (General Manager):*** ***Deema Alhassan (Head of Branch Coordination):*** A new SIGCAP system will be implemented with the new core banking system. Please downgrade this point to low.	Regular

N.	Audit Dept.	Aging	Risk	New Due Date	Situation as at December 31, 2019	Reply as at December 31, 2019	Issue Category
					(ex: As mentioned in observation number 7). Currently, the input of customers' information is manually performed on SigCap upon creating a new CIF. In addition, the interface will also help in automating the process of flagging signatures on SigCap as inactive/active following the flagging of the CIF on T24 as Dormant/Normal, when activated. In addition, an interface between SigCap and T24 is not in place to automatically open the CIF/account signature when performing any banking operations on T24 in branches. This will accelerate the process of verifying related signatures. We recommend BBS Branch Coordination Unit and SigCap Unit to coordinate with BBL GTS in order to assess the possibility of implementing the interface between BBS T24 and SigCap that helps in automating the CIF input process, minimizing the input errors and accelerating the signatures' verification at branches.	***Nawras Al Sammour (Head of Bills /Clearing/ Invoicing/Sigcap/post Financing):*** kindly be informed that a new specimens of signatures management system will be built in the new core banking.	
16	ITA	6-12	M	3/31/2020	***Dormant CIFs on T24 and SigCap (149-BBS-IT-024-18):*** During our fieldwork, we noticed that the process of flagging dormant CIFs on T24 is still not in place. Consequently, flagging the dormant account on SigCap is not being performed and the application is not restricting the users at branches from viewing the signature of related dormant CIF, as stipulated in the PSY26 procedure. It is worth mentioning that the process of flagging	***Karam Bechara (General Manager):*** CRF under testing. Expected to go live during Q1 2020.	System Implementation

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					dormant CIFs/accounts was requested by CBOS regulation (1418/M.N/B4-2016). We recommend BBS to coordinate with BBL GTS and schedule a delivery date in order to automatically flag dormant CIFs on T24 and consequently on SigCap.		
17	OA	6-12	M		***BCU Procedure (033-BBS-OA-007-19):*** BCU tasks are not governed by any procedure defining the processes and the roles & responsibilities of this unit.	***Karam Bechara (General Manager):*** Noted.	Procedure
18	OA	6-12	M		***Other BCU Monitoring Tasks (033-BBS-OA-007-19):*** The results of the follow-ups conducted by BCU over the branch audit observations were not reported to BBS Management and were not backed-up by sufficient supporting documents; also, no visits were being conducted by BCU to the related branches. Moreover no report was generated by BCU showing the authorizations granted by the latter on specific T24 transactions such as the early liquidation of LDs, the settlement of cash differences. Furthermore, in two cases, no acknowledgement of receipt was kept at BCU level to ensure that the report was submitted to the CBoS in timely manner.	***Karam Bechara (General Manager):*** 1- Noted 2- Noted 3- A request was sent to BBL to create the related reports, but request was cancelled due to the decision to change Syria Core Banking System 4- please remove this issue, now all reports are sent to CBOS via world client link automatically and not via regular mail.	Regular
19	OA	6-12	M		***Keys & Combinations' Monitoring (033-BBS-OA-007-19):*** Although required by the "Keys & Combination" procedure, the BCU control on the distribution of keys and combinations was	***Karam Bechara (General Manager):*** This duty requires visiting the branch. I didn't visit the branches mentioned above since I had no time for the visits as the duties at BCU is growing with time. The management is aware of this issue.	Procedure

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					not being conducted on yearly basis for the majority of BBS branches.		
20	OA	6-12	M		***CIFs' Amendments (033-BBS-OA-007-19):*** The amendments over customers' names can be authorized by Branches instead of being authorized only by Branch Coordination. Also, the CIF amendments report was generated by Compliance Unit and sent to BCU for review. In addition, CIF amendments report did not include amendments others than the one related to customers' names and it also contained some errors (e.g. names amendment, inputter, etc.). Moreover, the Compliance access on the amendment of some CIF fields on T24 ("Title.Code", the companion/father/mother middle names) was not restricted although required by internal procedures.	***Karam Bechara (General Manager):*** CRF no C36158 was logged on 2/8/2019 containing all points.	System Enhancement
21	OA	6-12	M		***CBoS FX Reporting System (033-BBS-OA-007-19):*** Weaknesses at CBoS system level were noted such as the absence of interface with T24 leading to the manual input of transactions, the lack of system authorization, the absence of audit trail on the eventual amendments performed by BCU over the transaction date and the users' profiles. In addition, we noted that, during the absence of the System Administrator, his user name and password were being used by his substitute. On the other hand, the local transfers in foreign currency as well as the FX transactions related	***Karam Bechara (General Manager):*** The interface between T24 and CBOS FX reporting system is a strategic decision. No need to do the interface since this CBOS system is for reporting only. Please remove this issue since there is no risk. Noting that the input was shifted to treasury dept.	System Enhancement

N.	Audit Dept.	Aging	Risk	New Due Date	Situation as at December 31, 2019	Reply as at December 31, 2019	Issue Category
					to account closure were not reported to the CBoS.		
22	OA	6-12	M		***CIFs Cleansing Process (033-BBS-OA-007-19):*** 84% of the existing CIFs needs to be cleansed in order to comply with the Combating Money Laundering Commission (CMLC) requirements. In addition, the cleansing date of 90% of the CIFs related to high risk clients' was greater than one year. On the other hand, the statistics of CIFs cleansed were being manually prepared by BCU based on figures provided by branches, due to errors in T24 data (i.e. CIF status and cleansing date). Hence, when reconciling the CIFs marked as cleansed in T24 during Q3 2018 with the BCU records, we noted several irregularities such as errors in the number of cleansed CIFs communicated by branches to BCU, missing or erroneous statuses, etc. Furthermore, we noted that the quarterly ratio of cleansed CIFs reported by Compliance to the Board was slightly overstated due to errors in the computation (The statistics' calculation and structure were amended in Q1 2019). ***Audit Comments:*** Observation will be reassessed during next follow up.	***Karam Bechara (General Manager):*** ***Deema Alhassan (Head of Branch Coordination):*** The calculation of data is now prepared at BCU on quarterly basis then sent to compliance and all the data are accurate as now all the data are extracted from the system. Please downgrade this issue to low. ***Ajia Shaheen (Head of compliance unit):*** The calculation of data is now prepared at BCU on quarterly basis then sent to compliance and all the data are accurate as now all the data are extracted from the system. Please downgrade this issue to low and please refer to BCU regarding the percentage since they are the owner of the cleansing.	Regular
23	OA	6-12	M		***Monitoring of Branches' Derogations (033-BBS-OA-007-19):*** BCU controls reports did not include the value dates' amendments related to transactions executed via open version on T24 and the commission waived transactions. Also, 15 out	***Karam Bechara (General Manager):*** A request was sent to BBL to create the related reports, but request was cancelled due to the decision to change Syria Core Banking System. Please downgrade this issue to low.	Regular

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					of 126 tested reports were not signed by BCU as proof of control.		
24	ITA	0-6	M		***Filtering System is not in Place (BBS - SYGS-2019):*** A filtering system is not in place to automatically screen the ordering and beneficiary customers and related banks in addition to the related details of all the inward and outward transfers performed through SyGS. Currently, BBS Compliance Department is manually checking the related fields using a local watch list maintained on an excel file and updated upon receiving a new customers' list from CBoS; however, no filtering is being performed on SyGS transfers versus international lists. Although the access to the watch list is limited to authorized users; nevertheless, amendments on such file can't be easily tracked and filtering activities can't be easily traced, which might lead to processing transactions without being properly checked. We recommend BBS to study the possibility of implementing a filtering system to automatically screen transactions performed through SyGS against internal and international lists, and identify transactions related to blacklisted or non-eligible parties.	***Karam Bechara (General Manager):*** We will suggest this recommendation to the management, and since we check all the transfers before execution unless it is intended not being sent to the compliance so we recommend to downgrade the issue to low.	System Implementation
25	ITA	0-6	M	1/31/2020	***Backup Connection with CBoS (BBS - SYGS-2019):*** A backup Router for the main Router that connects BBS with CBoS is not in place in BBS	***Karam Bechara (General Manager):*** In process. Expected to be finished during Q4 2019. BBL-Telecom Unit: Following visit of Maroun Bejjani from teleocm team to SYRIA in	Regular

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					Headoffice or BBS DR site. Connecting a backup Router will ensure the continuity of BBS and CBoS connection and consequently the SyGS services, in case the main Router stop functioning. It is worth mentioning that the current connection has two backup connections, but through the same Router.We recommend BBS to coordinate with GTS to assess the possibility of implementing a backup router connected from the DR site that can automatically switch between the main and backup Routers and connections. ***Audit Comments***: Backup router should be tested to ensure that the backup connection with CBOS is available.	December 2019 we replaced firewalls and routers . First weekof January DMZ zones were created in Syri amain office and DR , CBOS router in SYRIA DR was installed in DMZ and the CBOS router in HeadOffice is planned to be moved to DMZ before end of January 2020.	
26	ITA	0-6	M	1/31/2020	***BBS Network Weakness (BBS - SYGS-2019):*** After a discussion with the BBL GTS - Head of Telecom Unit, we noticed that the current connection between BBS and CBoS is directly connected to BBS internal network. It is worth mentioning that the connection is encrypted, however, a secure zone or a demilitarized zone (DMZ) is not in place to separate BBS internal network from other untrusted networks. We recommend BBL GTS Telecom Unit to assess the current BBS network design and study the possibility of creating a secure or a DMZ zone separating the SyGS web application from the internal network environment to ensure the security of BBS network.	***Raffoul Raffoul (AGM - Head of Group Organization Dvpt, Info Systems & Operational Support):*** Following visit of Maroun Bejjani from teleocm team to SYRIA IN December 2019 we replaced firewalls and routers . First weekof January DMZ zones were created in Syri amain office and DR , CBOS router in SYRIA DR was installed in DMZ and the CBOS router in HeadOffice is planned to be moved to DMZ before end of January 2020.	System Implementation

N.	Audit Dept.	Aging	Risk	New Due Date	Situation as at December 31, 2019	Reply as at December 31, 2019	Issue Category
27	ITA	0-6	M	1/31/2020	***BBS Router Weaknesses (BBS - SYGS-2019):*** Currently BBS is connected to CBoS through the CISCO Router 1841 that has several weaknesses: 1- Same password is being used by the Telecom Unit and BBS IT support to administer the Router. No dedicated users are created to manage the routers. 2- The router is not linked to AAA server (Cisco secure) to manage and authenticate the administrators' users. Currently default account is being used to access the network device. 3- Telecom are using the TELNET protocol to access the Router. 4- The Router is not linked to SIEM and logs are not retained to be able to monitor their activities and detect unauthorized and suspicious events. We recommend BBL GTS Telecom Unit to:1- Configure the router to the AAA server, CISCO secure. Consequently, dedicated users will be created for administrators.2- Study the possibility of using the SSH instead of TELNET.3- Coordinate with the Information Security Department (ISD) in order to link the Router to SIEM to be monitored.	***Raffoul Raffoul (AGM - Head of Group Organization Dvpt, Info Systems & Operational Support):*** Following visit of Maroun Bejjani from teleocm team to SYRIA IN December 2019 we replaced firewalls and routers . First weekof January DMZ zones were created in Syri amain office and DR, CBOS router in SYRIA DR was installed in DMZ and the CBOS router in HeadOffice is planned to be moved to DMZ before end of January 2020.	Regular
28	OA	0-6	M	3/31/2020	***Filing and Safeguarding of Documents (075-BBS-OA-015-19):*** Original documents (e.g. Transfers letters received via clearing and signed by other banks' representatives) were kept inside non-fire proof wooden cabinets. In addition, one box that includes original documents was missing.	***Karam Bechara (General Manager):*** We noted that the original documents (e.g. Transfers letters received via clearing and signed by other banks representatives) were kept inside non-fire proof wooden cabinets. All inward and outward pending transactions received by swift, clearing, voucher from the CBOS and SYGS which need: authorization,	Regular

N.	Audit Dept.	Aging	Risk	New Due Date	Situation as at December 31, 2019	Reply as at December 31, 2019	Issue Category
						confirmation of credit, investigation, charges our, cancelation, returning inward payment, check for collection, etc." were kept in fire proof cabinets while all transactions which the status is in history file on T24 are kept in a wooden cabinets and every 6 months will be sent to the archiving location in Hosh Blass., noting that starting from now on we will apply that. One box that includes original documents (e.g. Returned incoming transfers related to 2016 and preparatory & liquidation clearing session) was missing noting that no evidence that the missing box was received by the Archiving staff. Each box - which supposed to be sent to the archiving location in Hosh Blass- bears a sequence number and its content, As shown in the copy list which delivered to you, we sent more than 16 boxes including the missing said box to the archiving location in the same day and all boxes were found upon your request except the missing one. We will coordinate with the administration department in order to find this missing box and we will check as well with the e-archiving team.	
29	OA	0-6	M	3/31/2020	***Outgoing Transfers Processing, Amendment & Cancellation (075-BBS-OA-015-19):*** In 1 out of 70 cases related to local outgoing transfers, BBS Compliance clearance was obtained 10 days after the execution date of the transfer, while in another case it was authorized by T&P with a delay of 6 working	***Karam Bechara (General Manager):*** OPE0115218: Transfer returned on 07/03/2018 and re-executed it on 15/03/2018 with compliance clearance. 2- OPE0592816: No delay for sending letter instruction:- Branch processing date 02 Nov 2016.- Sending letter to Cham Bank on 03 November 2016	Regular

N.	Audit Dept.	Aging	Risk	New Due Date	Situation as at December 31, 2019	Reply as at December 31, 2019	Issue Category
					days. Also, 1 outgoing transfer had unclear payment details was returned by the counterparty.	value date 06 November 2016.While it has been authorized 10 November 2016 till receiving confirmation of executing from Cham Bank as a correspondent to Commercial Bank of Syria and after getting approval from FAO regarding correspondent charge for 2 per mil. We will avoid next time.3- OPE0488017 : noted and rectified4- OPE0344416: Final fate: returned and highlighted on excel as returned without mentioning the reason - noted and rectified.5- OPE0561516: Charges deducted under reference: FT1929900615OPE0295316: MTN: SYP 25 applied on outward payment, amendment charges: waiveOPE0065817: WHO SYP 250 (Transfer returned due to the branch error).OPE0548617: the mentioned payment details are very normal from Syria trust, if one bank returned the transfer for the payment details other banks do not.	
30	OA	0-6	M	3/31/2020	***Incoming Transfers Processing (075-BBS-OA-015-19):*** 3 incoming transfers (out of 60 tested) were credited into the clients' accounts despite some irregularities: in one case, the beneficiary's name on the letter received did not properly match with the one on T24, BBS Compliance clearance was not obtained in another case and payments details were missing in one incoming transfer. ***Audit Comments***: In case of lack of payment details, T&P should abstain from processing the transfer on transit table and keep it	***Karam Bechara (General Manager):*** ***Head of Transfers & Payments Units/Financial Market Back-Office - Mr. Mitri Kattour:*** 1- Upon phone call with Hama branch manager, he contacted our client and confirmed that the said transfer is related to correct beneficiary, we will avoid the next time. 2- Noted and rectified. 3- The said inward payment has been executed by branch despite existing an override message "missing payment details".	Regular

N.	Audit Dept.	Aging	Risk	New Due Date	Situation as at December 31, 2019	Reply as at December 31, 2019	Issue Category
					pending into the suspense account for further follow-up with related branch and execution upon getting compliance clearance.	Please refer to latest version of transfers and payment procedure. Kindly refer to the branch. ***Head of Compliance Unit - Mrs. Ajia Shaheen***: OPR205227318-FT1811601038 (we send many reminders to Mazzeh branch to cleanse the CIF since Mr. VICTOR SAAD was sent such transfers).	
31	OA	12-24	L		***Job Descriptions (071-BBS-OA-012-18):*** The job descriptions related to LSU staff are outdated	***Karam Bechara (General Manager):*** ***Dani Chakbazof - Head of Legal Support Unit:*** مازلنا بانتظار تزويدنا بالموافقة النهائية على التوصيف الوظيفي المرسل من قبلنا والمعتمد من الإدارة . ***Sherehan Saloum - Head of Recruitment & Training & Personnel Section:*** Still pending with BBL.	Regular
32	OA	12-24	L		***Annual Leaves (071-BBS-OA-012-18):*** All staff members did not take 10 consecutive days as required.	***Karam Bechara (General Manager):*** يتم التقيد بجدول الإجازات السنوية المرسل إلى قسم الموارد البشرية بما لا يتعارض مع مصلحة البنك وضرورات العمل.	Procedure
33	OA	12-24	L		***Legal Expenses (071-BBS-OA-012-18):*** Advances on legal fees paid to external/internal lawyers were not properly controlled and monitored, which resulted in having 10 advance payments pending in the legal suspense account (reaching seven years in one case). Also, one expense claim was reimbursed although concerned lawyer benefited from an advance on legal fees amounting to SYP 200K; and one advance payment to an internal lawyer was partially	***Karam Bechara (General Manager):*** بحسب ما تم انجازه منذ منتصف عام ٢٠١٨ ولغاية تاريخه وبحسب ما اطلعتم عليه فإن كافة الفواتير الخاصة بعمل الدائرة القانونية والمحامين يتم أرشفتها وتنظيمها بجداول تتضمن كافة المعلومات المطلوبة، وفيما يتعلق بالأمور المالية المعلقة مع مكتب الدكتور متري فهي في إطار المعالجة وننتظر تزويدنا بالمطلوب بحسب ما تم الاتفاق معهم عليه في آخر اجتماع.	Regular

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					borne by the Bank upon the lawyer resignation.		
34	OA	12-24	L		***Filing and Safeguarding of Documents (071-BBS-OA-012-18):*** LSU did not keep a copy of ملفات الحجز التنفيذي nor an acknowledgment of receipt from the courts listing the original documents submitted to proceed with the legal action.	***Karam Bechara (General Manager):*** تم تصوير الملفات التنفيذية ويتم تنظيمها في الجداول الخاصة بها، بالإضافة إلى صور ضوئية عن الملفات التجارية كافة باستثناء صور الملفات المتابعة من قبل مكتب الدكتور متري تم طلبها مرارا وتكرارا والاجتماع معهم أكثر من مرة ولازلنا بانتظار تنفيذه لوعوده وتزويدنا بالمطلوب، مع التأكيد أنه يتم تزويدنا بتقارير دورية بالإضافة إلى الوثائق المؤيدة عن كافة الملفات التجارية والتنفيذية المتابعة من قبل كافة المحامين ويتم إضافة التحديثات على الجداول الخاصة بها وإرسالها إلى الإدارة أصولاً.	Regular
35	OA	12-24	L		***Trainings (071-BBS-OA-012-18):*** All Legal Support Unit staff members did not attend trainings about legal matters and banking operations (e.g. LCs, LGs, etc.).	***Karam Bechara (General Manager):*** تم التوجيه بضرورة الالتزام بحضور دورات تدريبية لعام ٢٠١٩ لكافة موظفي القسم كل بحسب حاجته بالإضافة إلى أننا سنزود إدارة الموارد البشرية بأنواع الدورات التدريبية التي يحتاجها القسم أو بأي دورة تدريبية نعلم بها وتكون مهمة لتطوير كفاءة محامي وموظفي الدائرة على الصعيد القانوني المصرفي أو العمل الإداري والمالي ، كما يتم وضع تصور لدورة تدريبية معدة من الدائرة القانونية تتضمن استضافة المحامين من كافة المحافظات ويكون المشرف عليها قضاة من مختلف المحاكم السورية للنهوض بالعمل القانوني المصرفي ، وسيتم عرض المشروع على الإدارة لدراسته واتخاذ القرار المناسب بهذا الخصوص.	Regular
36	OA	12-24	L		***Annual Leave & Job Descriptions (139-BBS-OA-019-17):*** 4 Compliance employees did not sign their related JD and 2 Compliance Officers and Transaction Monitoring Officer were promoted, yet their related JDs were not updated and signed accordingly. In addition,	***Karam Bechara (General Manager):*** we will work on it as soon as possible since we received the new decision about regulating the compliance department work	Regular

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					3 out of 8 employees did not take 10 consecutive days of annual leave during 2018.		
37	OA	12-24	L		***Compliance Procedures (139-BBS-OA-019-17):*** The existing procedures governing the Compliance function and the FATCA identification process, were recently implemented/updated; yet, they need to be reviewed to include new changes or clarify some processes (e.g. Compliance Procedure: CBOS internal controller roles and responsibilities, the forced closure process of the recalcitrant clients' accounts, etc.).	***Karam Bechara (General Manager):*** We will work on it as soon as possible since we received the new decision about regulating the compliance department work, and regarding the FATCA forced closure until now it is not legalized by the CBOS.	Procedure
38	OA	12-24	L		***CMLC Enquiries (139-BBS-OA-019-17):*** The CMLC requests were not always handled and replied in a timely manner where in 4 instances, no reply was submitted to the CMLC and in 18 others cases, the replies were sent to CMLC with significant delays; thus, the Compliance posting restriction and FIU flagging were either not set or set on the related CIFs with delays. ***Audit Comments***: We tested a sample of 12 cases and noted one case where the posting restriction (46) is in place but did not prevent blocked account from CMLC of being subject to account charges.	***Karam Bechara (General Manager):*** done please remove the issue , and regarding the FIU flag we use it only for the blocked accounts (same as Lebanon), knowing that we solved the issue regarding the statement charges which removed by the branches manually and the debit interest and the highest debit commission which stopped by CAD based on e-mail sent from compliance(noting that the statement charges as per BT on 31/03/2019 related to the previous period please remove the issue since you were CC in the BT reply).	Regular
39	OA	12-24	L		***Due Diligence (139-BBS-OA-019-17):*** The screening of the local transfers (not processed through Swift) is manually performed by the Compliance Unit on the next day. In addition, the due diligence	***Karam Bechara (General Manager):*** Starting 2018 we give clearance for the local transfers prior the execution. In addition, all parties are checked in the LGs.	Regular

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					performed by the Compliance Unit before granting clearance on the issuance of local LGs was not documented. ***Audit Comments***: Tests performed showed the due diligence performed by the Compliance Unit before granting clearance on the issuance of local LGs is not being documented.		
40	OA	12-24	L		***AML Transaction Monitoring (139-BBS-OA-019-17):*** 20 tested clients, who executed a significant amount/volume of credit transactions, have significantly exceeded the yearly income range declared on T24 without being properly followed-up by Compliance. Also, we noted the absence of a dedicated report allowing identifying cash deposits followed directly by cash withdrawals on different accounts. In addition, the banker check report extracted from web reporting is missing the payment details and the report of inactive accounts lacked the type of transaction executed on the account (deposit, withdrawal, transfer etc.). Moreover, the transaction monitoring reports including the Compliance Alert Report were only controlled by the Compliance Officer or the branch Transaction Monitoring Officer without being subject to a second review by the Head of Compliance as required in the procedure and in 2 out of 13 days, the Compliance Unit did not check the report of Incoming Transfers (FOFA Report).	***Karam Bechara (General Manager):*** we print a screen shout of each banker check which shows all details from Globus and attach them with the banker checks report as per Management approval and regarding the inactive there isn't any risk since we checks all the inactive transactions regardless the transaction type	Regular

N.	Audit Dept.	Aging	Risk	New Due Date	Situation as at December 31, 2019	Reply as at December 31, 2019	Issue Category
					Audit Comments: Observation will be reassessed during next follow up.		
41	OA	12-24	L		***Transaction Monitoring Officer & Site Visits (139-BBS-OA-019-17):*** Although it is a Regulatory requirement, no Transaction Monitoring Officer (TMO) was appointed for the "Middle Region" that includes Homs, Hama and Aleppo branches, noting that this derogation was not approved by the CMLC. Also, Compliance Unit did not prepare a yearly plan for the TMO visits to branches and the latter's visits were not recorded on a dedicated register. It is worth noting that Hama and Aleppo branches were not subject to any site visit during Q1 2019, as for other branches, the visits were randomly done without following a predefined frequency (quarterly, monthly etc.).	***Karam Bechara (General Manager):*** Regarding appoint a Transaction Monitoring Officer in each municipality (town)subject to management approval.	Procedure
42	OA	12-24	L		***Letters addressed to CMLC (139-BBS-OA-019-17):*** The letters addressed to the CMLC for the suspicious transactions, forged checks, or fraud activities were solely signed by the Head of Compliance Unit without obtaining the General Manager signature as required in the procedure. In addition, the forged checks or fraud activities, reported to the CMLC were not recorded in a dedicated register. On the other hand, we noted that in 4 out of 6 suspicious transactions reported by branches to the Compliance Unit, the decision taken regarding the related client was not	***Karam Bechara (General Manager):*** We will amend the procedure. The branch action is to report to us all needed details in STR. Noted.	Procedure

N.	Audit Dept.	Aging	Risk	New Due Date	Situation as at December 31, 2019	Reply as at December 31, 2019	Issue Category
					supported by the Head of Compliance Unit's signature as evidence of approval.		
43	ITA	6-12	L		***Active CIFs with No or Expired Signatures (149-BBS-IT-024-18):*** Based on the substantive test conducted to compare T24 CIFs/accounts with SigCap data extracted as of October 2018, we noticed that approximately 288 active CIFs having 371 related accounts on T24, do not have a signature on SigCap. As stipulated in the PSY 36 procedure, upon the creation of a new CIF, several steps should be performed to create a Specimen of Signature on SigCap. On the other hand, we also noticed that some active CIFs have expired signatures that needs to be checked. We recommend BBS Branch Coordination Unit to check the list of active CIFs/accounts with no or expired signature and take proper action. Although a report on the newly opened CIF is being sent by the SigCap unit to inform branches that new CIFs were opened and new signatures were not received; however, a continuous monitoring on the outstanding CIFs with no signatures should be in place. Consequently, control reports should be requested in this regard (if not available). ***Audit Comments***: Branch Coordination Unit is following up with branches on active signature by e-mail. Same process should be applied for expired signatures.	***Karam Bechara (General Manager):*** Branch coordination now following the signatures as per follows: at the end of the month, we review the newly opened CIFs on RBA and follow up with the branches until the signature is live on SigCap. BCU is now following the expired signatures with branches based on emails sent from Sig Cap employees with the expired signatures. Please remove the issue. BCU is following all pending expired signatures.	Regular

N.	Audit Dept.	Aging	Risk	New Due Date	Situation as at December 31, 2019	Reply as at December 31, 2019	Issue Category
44	ITA	6-12	L		***SigCap Contingency Plan is not in Place (149-BBS-IT-024-18):*** We noticed during our fieldwork that a backup or a Disaster Recovery (DR) sever is not in place to be used in case of disaster or system disruption (Application, Database, Operating System). Currently, backup is being performed on tapes. Although a manual signature verification can be done in case of SigCap application disruption; however, a contingency plan, defining the steps to be performed to resume SigCap application services and recovery after disruption, is not in place. We recommend Systems' Unit in coordination with BBS to assess the possibility of implementing a disaster recovery plan to be used in case of main server disruption. Consequently, proper Disaster Recovery (DR) plan should be prepared and tested.	***Raffoul Raffoul (AGM - Head of Group Organization Dvpt, Info Systems & Operational Support):*** Hyper-V Replication to DR has been enabled on SRSIG server. Syria SigCap DR drill is planned on 2020.	Regular
45	OA	6-12	L		***Job Descriptions & Annual Leave (033-BBS-OA-007-19):*** The job description signed by BCU staff did not reflect their currents tasks and responsibilities. On the other hand, we noted that 2 employees at BCU did not take 10 consecutive days during 2016 and 2017 and 1 employee did not take the 10 days vacations in 2018. Moreover, we noted that T24 profiles were not deactivated upon 2 employees' annual leaves.	***Karam Bechara (General Manager):*** 1- Regarding the job description: issue raised to our management and will inform you back when solved 2- Head of BCU will take the 10 consecutive days during Q1 2020.	Procedure

N.	Audit Dept.	Aging	Risk	New Due Date	Situation as at December 31, 2019	Reply as at December 31, 2019	Issue Category
					Audit Comments: The point related to annual leaves is solved, yet the remaining points are still pending.		
46	ITA	0-6	L		***Manual Reconciliation Process (BBS - SYGS-2019):*** Currently, the reconciliation between SyGS and T24 is being manually performed by the Operations Department (OD) at the SyGS end of daily session. Several steps are being manually performed to check the inward and outward transactions, and to compare the balances between the two systems. In addition, on the next working day, the Finance & Treasury Department (FTD) is manually checking the balances between CBoS account and SyGS. However, a systematic reconciliation process is currently not in place to detect discrepancies in transactions' details. We recommend BBS to ensure that transactions details are reconciled between SyGS and T24, and to study the possibility of automating the reconciliation process to ensure that all unmatched transactions are promptly identified and corrected.It is worth mentioning that a decision was taken by the FTD to enhance the reconciliation process by uploading on T24 system the report generated from SyGS to automatically match each transaction processed with T24 data.	***Karam Bechara (General Manager):*** Starting August 2019 we are doing the following reconciliation process on SYGS account: • On daily basis, Reconciliation & Financial Control Officer extracts the data from SYGS system on excel sheet. • Reconciliation & Financial Control Officer matches the data between our ledger (Globus T24) and statement (SYGS) on excel sheet. • In case of discrepancy in the value date/amount/reference, the Reconciliation & Financial control Officer exerts all efforts to identify the reason of discrepancy. In some cases, the difference is justified according to the type of transactions (e.g. difference in transactions reference, difference in value dates, etc…). • after finishing the reconciliation process on excel sheet, Reconciliation & Financial Control Officer matches all amounts in our ledger on Globus T24 (account 1000167001010). • For the unjustified records, the Reconciliation & Financial control Officer follows-up via email with Transfers & Payment Dept. to adjust the mismatch. Our recommendation We need to interface between T24 and SYGS to extract the data and uploaded automatically to T24.	System Enhancement

N.	Audit Dept.	Aging	Risk	New Due Date	Situation as at December 31, 2019	Reply as at December 31, 2019	Issue Category
47	ITA	0-6	L		***SSL Certificate is Expired (BBS - SYGS-2019):*** While checking the SyGS application, we noticed that the (Security Socket Layer) SSL certificate of the https://192.168.1.145 was expired since December 27, 2018. SSL certificates allow a person, computer or organization to securely exchange information. It is worth mentioning that CBoS is the owner of the SyGS certificate. We recommend BBS management to coordinate with CBoS in order to provide BBS an updated certificate to ensure security.	***Karam Bechara (General Manager):*** CBOS did not roll out an upgraded version of SYGS. Issue related to CBOS.	System Enhancement
48	ITA	0-6	L		***SyGS Logs and Audit Trail (BBS - SYGS-2019):*** We noticed during our fieldwork that a report containing all SyGS transactions with their respective Inputter and Authorizer is not in place. It is worth mentioning that SyGS transactions details can be extracted without the Inputter and Authorizer. In addition, the returned transactions reasons field "Sender to Received Information" can't be also extracted.On the other hand, we noticed that an audit trail maintaining all administrator, LSO and RSO users' activities can't be extracted to be reviewed.We recommend BBS to coordinate with CBoS to check if an audit trail is in place and can be extracted. In addition, to check the possibility to extract SyGS transactions with their respective Inputter, Authorizer, and "Sender to Received Information".	***Raffoul Raffoul (AGM - Head of Group Organization Dvpt, Info Systems & Operational Support):*** Further to our letter sent to CBOS under reference 100 /TPU/1113 dated 04/07/2019, we have been informed by them that they are in process of: • Adding the purpose of payment in the extracted files. • Adding sender to receiver information to the extracted file. • Adding the audit trail to admin profile. While: • to extract SyGS transactions detail with the Inputter and Authorizer are not applicable.	System Enhancement

N.	Audit Dept.	Aging	Risk	New Due Date	Situation as at December 31, 2019	Reply as at December 31, 2019	Issue Category
49	OA	0-6	L	3/31/2020	***Policies and procedures (075-BBS-OA-015-19):*** The existing procedure governing the transfers and payment processes was recently updated; yet, it needs to be reviewed to include new processes related to RTGS and amend some processes (e.g. decree #508 related to the incoming transfer which was cancelled by the CBoS).	***Karam Bechara (General Manager):*** The interface was supposed to be done the first quarter of the current year so that we could update the procedure but for the time being we can't update it since the request form sent to GTS service desk under reference ID CP2941 dated 20 June 2018 concerning the interface between SYGS and T24 is on hold and as mentioned above, BOD decided to change the Core Banking system.	Procedure
50	OA	0-6	L	3/31/2020	***Annual Leaves & Job Descriptions (075-BBS-OA-015-19):*** One employee out of two did not take ten consecutive working days of annual leave and five employees did not deactivate their T24 profiles upon taking their annual leaves, in eight instances. On the other hand, one employee did not sign the related job description (rectified during our audit). Moreover, the RTGS profiles were not deactivated upon the annual leaves of the related users during all the tested period. ***Audit Comments****:* The point related to job description is solved, yet the remaining points are still pending.	***Karam Bechara (General Manager):*** Noted.	Procedure
51	OA	0-6	L	3/31/2020	***Monitoring Reports (075-BBS-OA-015-19):*** The end of day journal was not printed by T&P unit in one day (out of a sample of 20), the monitoring report was checked by a senior officer/officer rather than the Head of Unit as required in 15 days, the inter-branch suspense account report was not generated	***Karam Bechara (General Manager):*** Due to system error, all T.P.U. users try to print it as usual using the two available versions but in vain, the end of day journal was printed on 31 May 2016 as a blank page.2- This duty is assigned to the said users complying with job description duly signed "all	Regular

N.	Audit Dept.	Aging	Risk	New Due Date	Situation as at December 31, 2019	Reply as at December 31, 2019	Issue Category
					in 9 days and the list of outgoing and incoming transfer was not generated in 1 day. Also, the inter-branch transactions report was generated before the end of day in 6 days noting that several transfers were executed afterwards.	other duties are assigned". Taking into consideration that the flow work at TPU imposed on the Head of department that all suspense account is equal to zero "closing clearing session, closing SYGS session, etc. The monitoring of daily journal is considered as double check that the first one is done by the head of T.P.U. AND F.M.B.O as authorizer on T24. Noting that we will amend the procedureshortly.3- In case you mean, SYP***: all our concerned that ***129011002 is equal to zero at the end of day, at that time we were printing short list and it is as important as the long one, Noting that after this period we restart printing the full data list.4- List of inward and outward payment dated 08 April 2019 extracted from T24 and copied on the related live excel sheet.	

Appendix III - Index of Cleared/Downgraded Issues during Q4 2019

N.	Audit Dept.	Aging	Risk	Status	Situation as at December 31, 2019	Reply as at December 31, 2019
1	ITA	6-12	M	C	***SigCap Database "Super User" (149-BBS-IT-024-18):*** We noticed during our fieldwork that the SigCap SQL database 2005 Super User "sa" is still being owned and maintained by GTS Systems Unit. This is not in compliance with the segregation of duties principle, whereas; the database should be only accessed and managed by the database administrators. This super user is still enabled and can be used. We recommend GTS systems unit to assess the necessity of maintaining the "sa" super user and accessing the SQL database. If this is not needed, proper handover should be performed to database unit. Consequently, proper security measurement should be taken concerning the "sa" user. ***Audit Comments***: Password for the user "sa" related to SigCap database SRSIG was changed and handed over the Database Unit. Issue Cleared.	***Raffoul Raffoul (AGM - Head of Group Organization Dvpt, Info Systems & Operational Support)***: ***Machhour Salem - Head of Application Support & Operations:*** It was fixed. ***Joseph Harran - Head of Systems & IT Support:*** SRSIG SQL sa password has been changed by Database Unit. It is managed now by Database Unit.
2	COA	12-24	M	C	***Unusual Transactions (139-BBS-OA-019-17):*** Unusual transactions were noted over 7 clients' accounts that were subject between January 2015 and July 2017, to significant credit transactions in terms of volume and amount, followed subsequently by debit transactions leading to insignificant balances in the related accounts with no proper justification or supporting documents about their source of funds and reasons of payments. In addition, 2 clients' accounts that did not have any activity in 2015 were subject to sudden credit movements in 2016 without enquiry from BBS Compliance. ***Audit Comments***: Following the implementation of Siron, issue cleared.	***Karam Bechara (General Manager):*** Solved the following units now are responsible about blocking the accounts which reporting by some Syrian institutions and we handle all the names which reported through the CMLC Done we start to send it once amended knowing that the process in BBL to update the FOFA list is on weekly basis.

Appendix IV - Index of all Outstanding Issues in Branches in 2019

PROCESS / ISSUES	O/S	# of New Issues	# of Recurrent Issues	% of Branches with Recurrent Issues	Risk
GENERAL SUPERVISION					
EOD Verification Process *(Journals by User are checked and signed by a non-related employee against related daily vouchers; and required EOD Reports are signed by branch management)*	**1**	1	0	0%	H
Monthly Controls *(Controls should be performed by the Branch Management over sensitive banking instruments on a monthly basis)*	**3**	2	1	10%	M
Handing-Over Process *(Handing-over of banking instruments from a custodian to a replacement staff upon sudden and annual leaves)*	**5**	4	1	10%	M
Management Responsibilities *(Branch Management checks the required documentation before giving any authorization, communicated e-mails and instructions to staff, circulates the branch, and solves clients' complaints. Branch Manager does not have excess familiarity with staff or clients)*	**1**	1	0	0%	H
Annual Leaves *(All staff should take 10 days of uninterrupted vacation unless properly approved)*	**1**	1	0	0%	H
Custody & Classification of Documents *(Blank forms are kept in locked cabinets and account opening contracts for active CIFs as well as other originals should be kept in locked fireproof cabinets)*	**3**	3	0	0%	M
Custody & Management of Keys *(A register for the allocation of keys exists, and is properly maintained. Keys are segregated to ensure dual access to all sensitive areas such as the strong room)*	**0**	0	0	0%	M
TOTAL	**14**	**12**	**2**		
ACCOUNT OPENING					
Account Opening Contracts *(Every document relating to the account opening file should be initialed by the compliance officer in the branch (ABM). Contracts are properly filled, approved and filed; and no information is missing, mainly date, address, phone, etc.)*	**8**	5	3	30%	H
TOTAL	**8**	**5**	**3**		
CLIENTS' INSTRUCTIONS					
Fax Instructions *(Clients transacting via fax should have signed the required fax instruction form and attached the required documents)*	**4**	2	2	20%	H

PROCESS / ISSUES	O/S	# of New Issues	# of Recurrent Issues	% of Branches with Recurrent Issues	Risk
Standing Instructions *(Standing Orders should be properly handled and recorded on the register).*	**9**	6	3	30%	M
Stop Payment Instructions *(Stop Payment Instructions should be properly handled, recorded on the register and inputted in T24 System)*	**0**	0	0	0%	H
Outward Transfers *(Approved by relating clients, accounting entries properly booked, commission collected, swift received)*	**1**	1	0	0%	M
Correspondences *(All correspondences are backed up by original requests and duly signed).*	**6**	4	2	20%	M
TOTAL	**20**	**13**	**7**		
PROXIES					
Clients' Proxies *(Clients' signatures on Proxies are verified for authenticity; and ID of the proxy holder should be obtained and verified to the original. Proxies should be approved by Branch Management; and recorded both on the register and on T24)*	**4**	3	1	10%	H
Employees Proxies *(A prior approval from Branch Coordination should be obtained to issue a proxy for any staff member)*	**0**	0	0	0%	H
TOTAL	**4**	**3**	**1**		
CASH MANAGEMENT					
Cash Counts *(Tellers' tills are counted on a weekly surprise basis and the process is properly documented)*	**2**	2	0	0%	H
Cash Limits *(Tellers respect the cash limits preset by the insurance policy)*	**1**	1	0	0%	H
Cash Handling *(Entrance to the vault is dually done and properly supervised by a member of branch management. Cash transportation is done with the presence of the Main Teller and ABM/BM in a secure place)*	**5**	3	2	20%	H
ATM Replenishment (*ATM replenishment is securely and dually performed)*	**0**	0	0	0%	H
TOTAL	**8**	**6**	**2**		
ANTI-MONEY LAUNDERING					
Anti-Money Laundering Process *(Economic Right of Ownership form should be filled with every account opening contract, and when branch management has any suspicions on incoming transactions)*	**8**	3	5	50%	M
TOTAL	**8**	**3**	**5**		
CARDS MANAGEMENT					

PROCESS / ISSUES	O/S	# of New Issues	# of Recurrent Issues	% of Branches with Recurrent Issues	Risk
Plastic Cards Management (*Plastic cards and pin codes are properly handled by separate custodians, placed in a safe location and periodically controlled by Branch Management)*	**5**	4	1	10%	H
TOTAL	**5**	**4**	**1**		
CHECKS MANAGEMENT					
Banker Checks *(Banker checks are properly approved before issuance, commission is properly collected)*	**0**	0	0	0%	H
Returned Checks *(Returned checks are properly handled and documented; and commission collected)*	**0**	0	0	0%	M
Clients' Checkbooks *(Checkbooks should not be held at the branch for more than 4 months; and their custody and delivery must be controlled by branch management)*	**3**	0	3	30%	M
Byblos Checks Paid Cash *(Byblos cheques paid at the counter are stamped as Paid)*	**0**	0	0	0%	M
TOTAL	**3**	**0**	**3**		
TELLERS' TRANSACTIONS					
Teller Transactions *(Queue line is properly enforced, and tellers are not handling more than one client at a time and are securing their workstations when away. Cash is paid directly to and received from the customer and not through a third party)*	**7**	3	4	40%	H
Verification of Clients' Signatures *(Client's signature on all documents is properly verified with Sig-Cap or the specimen of signature in the branch)*	**3**	2	1	10%	H
Stamps *(Stamps are properly secured, recorded and maintained)*	**0**	0	0	0%	L
TOTAL	**10**	**5**	**5**		
RETAIL LOANS & BILLS					
Retail Loan Review *(Loans are properly granted to the client and in accordance to requirements in the internal policies and procedures; proper approval and required guaranties are obtained. Files are properly handled by the custodian, and placed in a secure place)*	**3**	3	0	0%	H
Bills Management *(Bills are not under the tellers' custody, the delivery of bills is only performed once the custodian ensure the payment and proper processing of the bill. Monthly inventory of the bills is performed by a person other than the custodian and properly documented)*	**1**	0	1	10%	M
TOTAL	**4**	**3**	**1**		

PROCESS / ISSUES	O/S	# of New Issues	# of Recurrent Issues	% of Branches with Recurrent Issues	Risk
INACTIVE ACCOUNTS					
Inactive Accounts *(Dormant accounts are properly activated and approved by branch management after following the required procedures; including obtaining client's signature on a confirmation of balance along with signature verification & copy of client's ID).*	**0**	0	0	0%	H
TOTAL	**0**	**0**	**0**		
SAFE BOXES					
Safe Boxes *(Safe box rentals should be backed up by properly signed contracts. Provisions should be available and yearly rental fees properly booked).*	**1**	0	1	10%	M
TOTAL	**1**	**0**	**1**		
TRADE FINANCE MANAGEMENT					
LC Process *(LC documents are kept in a fire-proof cabinet and delivered to the concerned client after ensuring the settlement)*	**0**	0	0	0%	M
TOTAL	**0**	**0**	**0**		
GENERAL SECURITY & BANK'S IMAGE					
General Security & Bank's Image Issues *(Branch management is taking the necessary measures to maintain the security of the branch's premises. The branch premises are kept in good shape to reflect the bank's image and reputation)*	**7**	1	6	60%	L
TOTAL	**7**	**1**	**6**		
GRAND TOTAL OF BRANCHES ISSUES	**92**	**55**	**37**		

Appendix V - Index of All Archived Issues in 2019

N.	Audit Dept.	Aging	Risk	New Due Date	Situation as at December 31, 2019	Reply as at December 31, 2019	Issue Category
1	ITA	>24	M		***Missing audit trail at the database level in the Web Retail Information System (104-ITA-08-08):*** Users' privileges are not logged or monitored at the database level. Audit trail at the database level should be implemented, to ensure that major tasks are logged and could be trailed. We recommend selecting of specific events and objects to be audited in order to avoid generating huge amounts of log entries that consume valuable server resources to be regularly reviewed by concerned parties. ***Audit Comments***: Enabling the audit trail on the DB level should be assessed with Owner and ISD. Otherwise, we should upgrade SQL server from 2000 to a newest version supported by Microsoft, in order to dismiss the related audit trail weaknesses on the actual version.	***Karam Bechara (General Manager):*** The recommended could not be applied: we tried to use a newer database where the auditing can be enabled but the application tests failed. To be tackled with Application upgrade/refresh.	System Enhancement
2	ITA	>24	M	3/31/2020	***Weaknesses in the critical services' classification, assessment, and contingency (069-BBS-IT-010-13):*** We noticed that the current information systems' services in BBS are classified in terms of criticality; however, the related contingency plans, except for T24, Exchange & Swift, are not yet in place. We recommend the Head of the BCP Unit with	***Raffoul Raffoul (AGM - Head of Group Organization Dvpt, Info Systems & Operational Support):*** DR plans / implementation schedule, for these systems are handled and managed by the GTS-Data Center & Disaster Recovery Unit. BCP unit follows up with GTS on their implementation and testing, during the monthly DR meetings held.	Regular

N.	Audit Dept.	Aging	Risk	New Due Date	Situation as at December 31, 2019	Reply as at December 31, 2019	Issue Category
					the support of BT, and BBS management to ensure that all critical services have the appropriate contingency plans, in addition to study the possibility of installing a backup server for each of the above presented systems, in order to avoid the loss of data and avoid any unexpected interruptions in the bank's operations. It is worth mentioning that these systems are already classified as critical systems by BT and ISD.		
3	OA	>24	M		***Insufficient recording duration of the DVRs (085-MEM-BBS-06-09) & Surveillance Camera Coverage at the Branches (112-MEM-BBS-10-09) (085-MEM-BBS-06-09):*** The duration of the DVR recording was insufficient and varied from one location to another. Moreover, the surveillance cameras installed at the branches were either not properly functioning, not well focused and/or not covering all the important locations of the branches. In addition, the quality of the pictures is low and does not show the needed details. ***Audit Comments***: We checked the DVRs and noted that the DVRs of Aleppo branch are not recording during the public holidays, weekends and after working hours. In addition, the DVRs of Tartous branch, Aleppo main branch DVR 2 and uptown Mall DVRS are not recording for 90	***Karam Bechara (General Manager):*** Aleppo Branch: the management is aware and took the decision to maintain power only during working hours so DVRs will not be working outside working hours if there is no governmental electricity As for some branches recording issues: in 2019 , we are suffering from having an expired DVRs and the related systems that need to be replaced . thus , solving the issue totally will be by changing all the DVRs in the branches and all the related security systems and BBS management decided to change them by next year (we started our studies by getting some offers).	Regular

N.	Audit Dept.	Aging	Risk	New Due Date	Situation as at December 31, 2019	Reply as at December 31, 2019	Issue Category
					days as required and Head Office and Head office IT DVRs are off.		
4	OA	>24	M		***System functionality (BBS Loan Recovery - 2013):*** LRU application (Excel sheets) used for following up with clients is basic and may lead to data alteration. It is updated with data from branches; thus, in case the branch omits or does not send the information on time, the new defaulting loans will not be included. In addition, there were no automated monitoring reports for closed, rescheduled or written-off loans and inputted data were not reviewed by an independent party. A dedicated application and automated reports should be implemented in order to enhance controls. ***Audit Comments****:* Issue will remain M since no dedicated system to manage the LRU activities.	***Karam Bechara (General Manager):*** All data is backed up now on server and we have copies of all the data. We suggest to decrease this issue to low. Noting that the new system is expensive.	System Implementation
5	OA	>24	M		***Reporting System (126-BBS-OA-015-15):*** CBoS reports are manually prepared using data gathered from different sources (T24, Access, Excel etc.), which might lead to errors and penalties. Accounting should coordinate with BT in order to automate the generation of reports and limit the manual interventions. ***Audit Comments***: Issue is still outstanding since the following reports are still manually prepared 1-Tamplate03-	***Karam Bechara (General Manager):*** All reports that can be automated are already done on Access Database. Remaining few reports will be automated on ACL. Required control issues were implemented: protected shared folder and restricted access…As for the log file or audit trail, the IT informed us that it cannot be done in BBS.	System Implementation

N.	Audit Dept.	Aging	Risk	New Due Date	Situation as at December 31, 2019	Reply as at December 31, 2019	Issue Category
					Reports_# 2-3.&2-6&2-7 2- Off-balance sheet items3-(monthly liquidity 4--3_&_2-3 4- 3 study templates 10-2 / 10-3 / 10-4)In addition the control measures was implemented (shared folder was protected against delete and edit). However, the audit trail (log file) is still not implemented.		
6	CRA	6-12	M		***Excesses not properly approved (BBS - 2018):*** In 11 of the 32 tested account movements; we found large excesses over the approved regular lines and for a long period exceeding 30 days. Moreover, they were approved solely by BBS CC1 although they exceeded 10% of the facility or SYP 25M. In 4 of these cases, the excesses were allowed despite CCC prior refusal to increase the line (Film Trading; ASA Al Tijarieh) or its request not to allow any excess (Kuzbari Group; Michel Daoud). We noted the following improvements subsequently: the excess was settled or regularized through the increase of facilities (6 cases: Film Trading; Technopack; Michel Daoud; Rachid Rahal; Al Wakalat, GTSC); or decreased and became within the 10% granted to BBS (Awad). As to the remaining 4 cases, the excess is expected to be settled before May 2019 (Kuzbari) or April 2019 (Hadaya) or upon the cancellation of the L/G (ASA Al Tijarieh). On the other hand, a CA with a proposal to increase the facility	***Karam Bechara (General Manager):*** The following clients: Film Trading, GTSC, Rashid Rahal, Kuzbari, Technoline, Al Wakalat, Michel Daoud and Awad are back to normal I.e. no excess. As for ASA, Haday Motors both CCC are notifed about the existing excess.	Regular

N.	Audit Dept.	Aging	Risk	New Due Date	Situation as at December 31, 2019	Reply as at December 31, 2019	Issue Category
					was pending at BBL (Alkhat Altekani). Hence, issue downgraded to Medium. ***Audit comments***: we will test this issue in our next audit.		
7	CRA	6-12	M		***Delays in the CA Renewals (BBS - 2018):*** 13 out of the 18 tested files (72%) had delays in their renewal with an average period of 12 months. In addition, most of these files were subject to several extensions of their revision dates through interim CAs. Even if we exclude files on exit restricted to rescheduled loans; yet, the percentage remains high (73%).In 2 of the above cases, financials obtained and spread were outdated and site visit reports were missing (Modern for Glass Industries; Maan Sleiman).	***Karam Bechara (General Manager):*** The delay in commercial file renewal is due to same previously repetitive issues: the expansion in lending in order to achieve the targets sets by the BoD and management; difficulties in obtaining the required renewal documents of our clients, where some of clients are re-located outside the country; the overload of requested reports from CBoS along with the increasing complication on the operational level; Commercial team still handling the NPL of the commercial portfolio in the absence of Commercial LRD. Regarding Rescheduled facilities or clients on decreasing basis: according to the last CPPM version (page 57), those files can be technically renewed based on the approval of head of commercial along with the General Manager approval. Concerning the files not renewed yet, we will work to finalize those pending files. Noting that those mentioned accounts are closely supervised and monitored from the related RM and the Head of the Commercial Unit and in case of any suspicious matters the issue is directly raised to the upper management level and the necessary action is taken accordingly. As	Regular

N.	Audit Dept.	Aging	Risk	New Due Date	Situation as at December 31, 2019	Reply as at December 31, 2019	Issue Category
						for the call memo for Modern Glass and Maan Sleiman, the issue is rectified.	
8	ITA	>24	L		***Salaries process requires manual intervention (051-ITA-04-09):*** The end of month (EOM) salaries process requires HR to prepare the salaries file and send it by email to BT Beirut to be generated on Globus. Therefore, we recommend HR to coordinate with BT in order to allow salaries file to be transferred by HR to Globus and updated by BT using a Straight Trough Processing solution. ***Audit Comments:*** Issue still pending since the file could be amended and read by unauthorized party.	***Karam Bechara (General Manager):*** Salaries are now generated by system as a TXT file consisting of numbers and figures that couldn't be read by someone who is not familiar with the process in addition to the inability of the external system provider to make the file transferred to Globus directly i.e. automatically into Globus. Issue solved. Anyhow, the salaries are checked and signed by head of support. Issue solved. On the other hand, we will coordinate with BT in order to genarate automatically the Salaries on Globus.	System Enhancement
9	ITA	>24	L		***Formal recovery procedure for AutoID system is not in place (051-ITA-04-09):*** The system recovery procedure for the AutoID system is not in place. We recommend putting in place a formal contingency plan to the current HR system database and application in order to ensure the continuity of business in case of disruption. Consequently procedure should be tested. ***Audit comments:*** Recovery procedure should be successfully tested to consider that issue is cleared.	***Karam Bechara (General Manager):*** We have started the configuration of Auto-ID application (HRD) in Tartous DRC in September 2019 and we are intending to test and complete the configurations in October 2019, the DR Plan will be made afterwards. The official DR drill shall be planned in Q1 2020.	Procedure
10	ITA	>24	L		***No proper credit and charge cards management system (059-ITA-07-09):*** Part of the charge/credit cards process is manual which might be subject to human	***Karam Bechara (General Manager):*** Once we purchase the new core banking, issue will be solved.	System Implementation

N.	Audit Dept.	Aging	Risk	New Due Date	Situation as at December 31, 2019	Reply as at December 31, 2019	Issue Category
					error. Thus, a delivery date for acquiring a Card Management System to manage credit and charge cards is to be specified. ***Audit Comments***: The issue is not yet solved, but using web GUI application reduce the risk and manual process. Therefore the issue will be downgraded. However, a credit card system is not in place.		
11	ITA	>24	L		***CID application was not in place (044-IT-BBS-04-10):*** We noted that the Credit Information Department (CID) was using different data sources to search on customer information. The search was being manually performed and with no support system. It is worth mentioning that a new CID application is being developed for BBL and it can be used, once finalized, in BBS after assessing the interfaces. A CID application is recommended to be deployed in BBS in order for customer information to be centralized in one application/database. This application should have an efficient and effective search engine. Therefore, we recommend CID department to follow up with BBL on the CID application delivery date.	***Karam Bechara (General Manager):*** BBS already purchased a new CID system from SoftFlow. The project is in process. Expected end of 2019.	System Implementation
12	ITA	>24	L		***SQL administrator profile and audit trail for the DataBase and Bills Domiciliation Application (181-IT-BBS-14-10):***	***Raffoul Raffoul (AGM - Head of Group Organization Dvpt, Info Systems & Operational Support):***	Regular

N.	Audit Dept.	Aging	Risk	New Due Date	Situation as at December 31, 2019	Reply as at December 31, 2019	Issue Category
					1-Head of Data Integration Development Section on the bills domiciliation application SQL database server is using a conventional username and its password is known by him.2-Moreover, the audit trail over the database is not enabled.3-Last modification and authorization are only being logged on the Bills Domiciliation Application. We recommend:1-Studying the possibility of creating separate login name for the Head of Data Integration Development Section user on the bills domiciliation application SQL database server. Consequently "sa" password should be only maintained by DBA and kept in a sealed envelop.2-Enabling the audit trail over the SQL database in order to log all activities performed on the SQL database level.3-Studying the possibility of enhancing the available application audit trail in order to log and maintain all activities performed by users and not only maintaining the last changes.	1- The administrator profile issue will be solved during Q1 2020: as specific user will be created for the developer. 2- The database of the mentioned application and the related windows server are too old. Nothing can be done. 3- For the application audit trail, a change was booked under C33734.	
13	ITA	>24	L	9/30/2020	***Weaknesses in the BCP Strohl application's maintenance and support (069-BBS-IT-010-13):*** We noticed that the currently used BCP application "Strohl" is not covered with a support and maintenance agreement; i.e. there is no assurance of the proper and continuous functioning of the primary BCP application. We recommend the Head of	***Raffoul Raffoul (AGM - Head of Group Organization Dvpt, Info Systems & Operational Support):*** A new BCP solution (RPX) was purchased and installation started in Q4-2019. Deployment for the Subsidiaries is planned to finish by end of Q3-2020. BBS Units will be trained and granted access to the new solution. However, It is up to the BBS-	System Implementation

N.	Audit Dept.	Aging	Risk	New Due Date	Situation as at December 31, 2019	Reply as at December 31, 2019	Issue Category
					the BCP Unit to reactivate the maintenance agreement on the Strohl application, and study the possibility to upgrade the application to its latest version.	Management to agree using this solution (hosted in BBL) or to buy their own.	
14	ITA	>24	L	3/31/2020	***Debit Card Yearly Maintenance Charges Collection (120-BBS-IT-016-16):*** The Debit Card yearly maintenance charges (900 SY) are being manually collected by debiting customers' accounts and crediting the PL 52022 (COM ON MAESTRO CARDS). We also noted that some active cards maintenance fees were not shown as collected for 2016 from their related accounts. As per BBS this is due to the fact that some cards' fees are being debited from the customers' related companies' accounts, and others are exempted from cards fees payment. It is worth noting that customers' exception list is currently not in place. We recommend BBS to prepare an exhaustive list containing all debit cards charges exceptions. In addition, we recommend BBS to request from BT to study the possibility of automating the process of collecting the debit card yearly charges, as mentioned in the DEBIT CARD BBS procedure.	***Karam Bechara (General Manager):*** Log C24975: we are on test process Q1 2020 will be solved.	System Implementation
15	ITA	>24	L		***Commissions on Financial and Non-Financial Transactions (120-BBS-IT-016-16):*** Payable and acquired commissions' received from CSC on monthly basis were	***Karam Bechara (General Manager):*** it's done during July/2019 for Lebanon thus it goes to Q1 2020 for BBS.	System Enhancement

N.	Audit Dept.	Aging	Risk	New Due Date	Situation as at December 31, 2019	Reply as at December 31, 2019	Issue Category
					not reconciled to any in-house generated reports or logs. Instead, the cards unit was limiting its scope to verifying the accuracy of the reports amount received from CSC and ensuring that rates are properly applied in CSC's statements through dividing the lump sum amounts by the number of transactions executed for each financial and non-financial transactions' category. On the other hand, non-financial transactions executed by BBS cardholders on CSC or other networks' ATMs were settled by BBS as part of the settlements, however, not charged to customers' accounts. We recommend BBS cards operations to coordinate with BBL, to study the possibility of reconciling the acquired commissions' received from CSC. On the other hand, BBS management should check the possibility of charging the non-financial transactions to customers' accounts.		
16	ITA	>24	L	12/31/2019	***Documentation Within the T24 Routines (094-BBS-IT-013-17):*** We took a sample of 10 newly developed routines and checked their documentation. Our test showed that, no template is being used for routines and a brief description of what the program does is missing in 3 of our sample. We recommend adherence to the T24 programming standards in order to make the code legible, maintainable and operational within T24.	***Raffoul Raffoul (AGM - Head of Group Organization Dvpt, Info Systems & Operational Support):*** We agree with audit recommendation for adding comments; however it is of low risk for the moment since the core banking development team can read any routine with all rules and conditions. In addition, for T24 BBL upgrade, we documented majority of the routines and some are common. We built a documentation template in T24 and	Regular

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						it will be used the same for other subsidiaries in case of upgrade. However, Syria Management decided to replace the Core Banking System and the contract is being finalized. Therefore, we highly recommend closing this Pending Audit Issue.	
17	OA	>24	L		***Financial Reporting (085-OA-13-06):*** The accounting department in Byblos Bank S.A.L. is still receiving monthly manually prepared financial reports from Byblos bank Syria rather than system generated reports. ***Audit Comments***: issue is downgraded to low since part of the required reports are generated from access database	***Karam Bechara (General Manager):*** The main parts of the reports are being now automatically generated from access database. Currently ACL will be used to cover/enhance the remaining reports. Major requirements in any new core banking.	System Implementation
18	OA	>24	L		***Check Clearing (085-OA-13-06):*** Checks are processed manually due to lack of standardized coding for checks in the Syrian Market, which increases the risk of human error.	***Karam Bechara (General Manager):*** Project on hold until the launching of the ACH system. You have to know that printer machines have to adopt with CBOS requirements, so we don't have to change them, noting that we need 51 machines if we will grant machine to all tellers and PBs at the branches. estimated Q1 2020.	Ongoing
19	OA	>24	L		***Defaulting commercial clients (BBS Loan Recovery - 2013):*** Defaulted commercial clients were not flagged on Globus as LR nor subject to override messages requiring proper approvals and to control related deposits and withdrawals, thus, jeopardizing the monitoring of accounts' movements.	***Karam Bechara (General Manager):*** Regardless of flagging the NPL account as LRU, first mitigator that: no withdrawal can be done on any of the LRU account without authorization from CAD which is the "second eye" and it's the first filter of commercial files. a second mitigator: after 90 days of the expiry of any files, the system	Procedure

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					Moreover, the defaulted commercial clients' files were solely handled by the commercial department causing a potential conflict of interest. Ultimately, such cases should be transferred to LRU according to a validated process. ***Audit Comments***: Issue is downgraded to low since a report from web reporting system is extracted for all defaulted commercial clients. This report is checked by the RM, the head of unit and the head of department then sent to BBL Credit Risk Management. However, the CIFs are not yet flagged as LRU.	would not process any transaction without either renewing the limit or authorization from CAD. third mitigator: the process to transferring any file to Legal Action is by freezing and removing all limits and make a closure of lines where the balances are freezed and no transactions are to be made on account. The above makes the risk of any utilization on any problematic account is almost Zero. What confirm our statement is no precedent since 2011 despite the deterioration of our portfolio during crisis.	
20	OA	>24	L		***Rescheduled loans (BBS Loan Recovery - 2013):*** Absence of rescheduled loans report to ensure that appropriate approvals were granted and new conditions applied. ***Audit Comments***: Issue is downgraded to low since a proper control is conducted on the rescheduled loans by the commercial, CAD staff and internal controller staff	***Karam Bechara (General Manager):*** We suggest to remove this issue, the request is not available on globus.	Regular
21	OA	>24	L		***Duties and Reporting Line (BBS Regulatory Compliance):*** The RCO functional reporting to the Head of Legal was not in compliance with the decree 489; since the RCO was performing some legal tasks which might impair her independency. Moreover, the RCO tasks were not governed by any procedure (expected 2nd half of 2015) and the related	***Karam Bechara (General Manager):*** We will work on it as soon as possible since we received the new decision about regulating the compliance department work.	Ongoing

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					JD was not revised to reflect the actual duties and responsibilities. RCO duties and reporting line along with the related JD should be revised. ***Audit Comments***: Issue is partially rectified since the bank hired a new Regulatory Compliance officer (RCO) reporting to the head of compliance unit and the procedure is validated by the internal audit and sent to concerned party ,however the related JD was not revised to reflect the actual duties and responsibilities		
22	OA	>24	L		***Procedure & Purchasing Committee Charter (185-BBS-OA-020-15):*** We noted several deviations from the Assets Purchase & Inventory procedure (Branches were submitting their requests directly to Finance & Administration Department without passing through Branch Coordination Unit, Bidding envelopes were being opened by the Administration Unit in the presence of the Head of Finance and Administration instead of BBS purchasing committee, etc.). In addition, the procedure was missing some processes (processing of expenses/purchases over Trilog & the Inventory System) and major principles (threshold amount above which, prepayments should be subject to amortization over the period covered by the related expense, thresholds for	***Karam Bechara (General Manager):*** All issues are solved except the PSY11 is still not updated.	Procedure

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					considering purchased items should be recognized as assets or expenses). On the other hand, the Purchasing Committee Charter needs to be updated (dated 2010). ***Audit Comments***: The procedure and the charter are not yet updated		
23	OA	>24	L		***Budget Monitoring Tool (185-BBS-OA-020-15):*** The Bank did not have a budget monitoring tool that ensures effective preventive controls on excess over budget. The Accounting department is monitoring the Bank's budget on Excel at the end of each month. We recommend the implementation of a budget monitoring tool that enables the Bank to monitor efficiently the assets' purchases and expenses. ***Audit Comments***: Although a monthly control is conducted by the Head of Finance & Administration, it is considered a detective control, as no budget monitoring tool that ensures effective preventive controls on excess over budget.	***Karam Bechara (General Manager):*** Proper controls are being done on a monthly and quarterly basis. Furthermore, a second authorization from the Accounting and/or Admin is needed for branches purchases. Fixed Assets software will be purchased with core banking system, budgeting will be covered.	Regular
24	CRA	12-24	L		***Non-Standard Conditions Applied on NPL (BBS - 2017):*** This issue was raised in previous audits. Different debit interest rates and commissions were applied on the same borrowers' accounts. ADIs related to overdraft accounts included the limit originally granted; hence, the portion of	***Karam Bechara (General Manager):*** This issue will be handled by management.	Regular

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					O/S up to this limit was not charged a penalty while the remaining portion and due unpaid financing were charged. In addition, the quarterly commission 2‰ was applied on the overdrafts and not on the due unpaid financing.		